



中国银行间市场交易商协会
National Association of Financial Market Institutional Investors

Reform and Development of China's Bond Market

»» 2026

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Reform and Development of China's Bond Market (2026)

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NAFMII and Its Role in China's Interbank Market

The National Association of Financial Market Institutional Investors (NAFMII) is a self-regulatory organization (SRO) of China's interbank market, an OTC market consisting of the interbank bond market, interbank lending market, foreign exchange market, bill market, gold market and financial derivatives market. NAFMII was founded on September 3, 2007, under the approval of the State Council. It is composed of market participants, intermediaries, practitioners and experts in related fields voluntarily. It regulates the market under the guidance and supervision of the People's Bank of China (PBC). As of the end of 2025, NAFMII had 10,397 members in total, including banks, securities companies, insurance companies, credit cooperatives, fund management companies, trust companies, group finance companies, large enterprises and other institutions.

NAFMII conducts self-regulation on China's interbank market in accordance with the principles of market-orientation and professionalism. NAFMII's responsibilities are to (i) formulate and oversee the implementation of self-regulatory rules, standards and professional ethics; (ii) serve the members by providing professional training, continuing education and disputes mediation, to safeguard members' legitimate rights and interests; (iii) drive product and institutional innovation, refine bond registration and issuance mechanisms and procedures; (iv) foster international exchanges to promote market opening-up. NAFMII continues to strengthen self-regulation in the interbank market, enhance its capacity to support the development of the real economy, and drive the sustained and healthy growth of the interbank market.

Principles of NAFMII



PART 1

China's Macroeconomic and Financial Landscape & Overview of China's Interbank Bond Market



1.1 Development Trends of China's Macroeconomy and Financial Markets

China has been one of the fastest growing major economies globally in the past two decades, and has made important contributions to global growth. China's gross domestic product (GDP) in 2025 is USD 19.6 trillion, making it the world's second largest economy, accounting for 16.8% of the global economy. Since the end of the COVID-19, China's average annual contribution to global economic growth has stood at 30%. In recent years, the pace of China's economic transformation has gradually accelerated, entering a new stage of high-quality development. From 2020 to 2025, the average annual GDP growth rate has moderated to around 5%, which still outpaced the global average over the corresponding period.

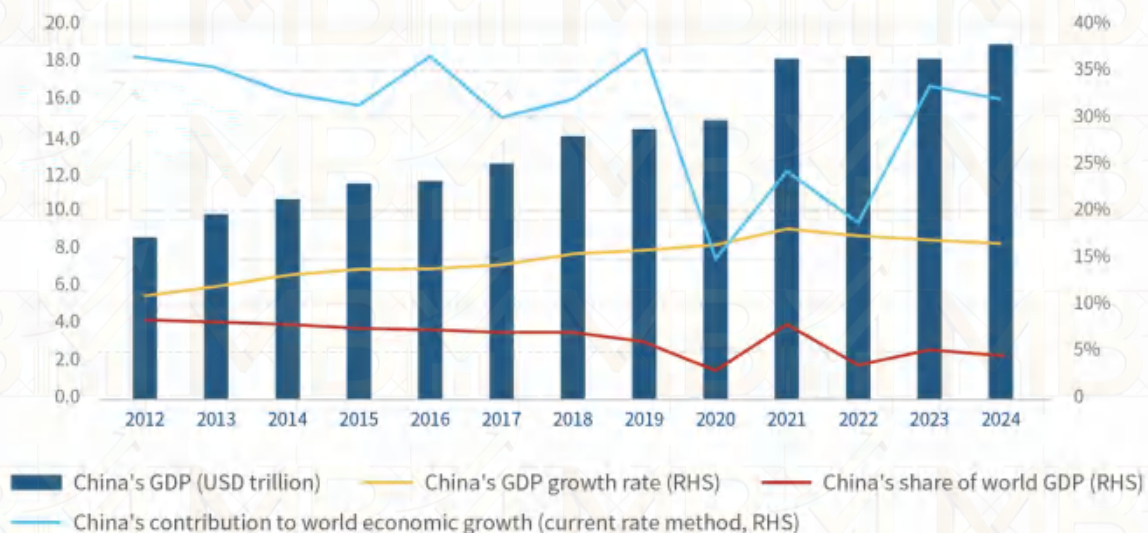


Figure 1-1: China's GDP Growth and Its Contribution to World Economy

Source: National Bureau of Statistics of China, World Bank.

China's economy has strong potential for long-term stable growth. Firstly, China has made significant progress in economic rebalancing over the past decade. Prior to the 2008 global financial crisis, China's economic growth was primarily driven by investment and exports. Since then, consumption

expenditure contributed to over 50% of China's economic growth. **Secondly**, a vast middle-income group provides strong support for medium- to long-term demand. China's high-quality urbanization has cultivated the world's largest middle-income group-exceeding 400 million people, and the urbanization process is set to continue. **Thirdly**, China is the only country that possess a complete industrial system with all categories under the UN classification-an unmatched aggregate advantage. **Fourthly**, China is endowed with abundant and high-quality human resources. It has the world's largest and most diverse pool of talents, with over 5 million graduates annually in science, technology, engineering, and mathematics (STEM) fields, which enhances total factor productivity. **Fifthly**, the development of new quality productive forces has been advancing with steady and robust strides. Major advances have been made in scientific and technological innovation, represented by integrated circuits, artificial intelligence, quantum technology, biomedicine, and more. The intelligent transformation and digital upgrade of traditional industries have continued to progress, while the transition toward green and low-carbon development has accelerated. According to the World Intellectual Property Organization Global Innovation Index, China ranked among the top 10 for the first time in 2025, becoming one of the most rapidly improving innovators. **Sixthly**, China's infrastructure is advanced and well-developed, leading in high-speed rail and highway length, with cutting-edge ICT networks and rapidly growing renewable energy infrastructure, providing a solid foundation for economic efficiency.

China's financial sector is developing rapidly and transitioning toward high-quality growth. **Firstly**, it ranks among the world's largest by scale. By Q3 2025, China's total financial assets reached 532 trillion yuan, including 474 trillion in banking sector, 17 trillion in securities sector, and 40 trillion in insurance sector. China has the world's largest banking sector, with five banks designated as global systemically important institutions. In The Banker's 2025 ranking, Chinese banks claimed six of the top ten spots. The capital market is also expanding quickly: as of the end of 2025, the bond market size exceeded 190 trillion yuan and the stock market capitalization topped over 100 trillion yuan, making China the world's second-largest in both. **Secondly**, technology plays a growing role in capital markets. The tech sector accounts for over a quarter of A-share market value, more than banking, non-bank finance, or real estate. A "technology board" was launched in the bond market, with issuance volume surpassing 1.8 trillion yuan in 2025. **Thirdly**, international recognition continues to rise. A-shares and Chinese government bonds have been included in major global indices such as MSCI, FTSE Russell, Bloomberg Barclays, and J.P. Morgan. By September 2025,

overseas holdings of Chinese RMB financial assets exceeded 10 trillion yuan. **Fourthly**, progress has been made in mitigating financial risks. In recent years, authorities have prudently resolved a number of high-risk small and medium-sized financial institutions. Both the number of high-risk institutions and the volume of high-risk assets have been reduced significantly from their peaks.



Figure 1-2: Assets of the Financial Sector

Source: National Bureau of Statistics of China

After more than 40 years of reform and opening up, China's economy has accumulated wealth and assets, and formed favorable conditions for growth such as the middle class, industrial framework and human capital. However, it also faces medium- and long-term challenges such as the aging population, widening income gap, intertwined risks in key areas, rising financial system vulnerabilities, and rat race competition among enterprises.

While China's economic development is confronted with certain long-standing problems and emerging challenges, these are general issues arising during the course of development and transformation. China is striving to address them and remains fully confident and capable of tackling various risks and challenges. Going forward, China will further thoroughly implement the new development philosophy of "innovation, coordination, green development, openness and sharing", accelerate the establishment of a new development paradigm featuring domestic circulation as the mainstay and mutually reinforcing domestic and international circulations, fully leverage the advantages of its super-large market with over 1.4 billion population, and continuously make new achievements in promoting high-quality development. With more refined market rules and more robust institutional safeguards, China will offer more "China Opportunities" to countries around the world.

1.2 Booming Growth of China's Interbank Bond Market

Along with the reform of China's economic system, China's OTC financial market for institutional investors, namely the interbank market, was established and developed rapidly. Over the past 30 years, the interbank market has become an OTC financial market system covering the bond market, interbank lending market, foreign exchange market, bill market, gold market and financial derivatives market. The products and participants of each sub-market are becoming increasingly diversified, and the market scale has been gradually expanding, playing an important role in supporting macro-economic control, financial reform, and economic development.

China's bond market exhibits typical "emerging + transitional" characteristics. It has evolved in the context of immature financial ecosystem, with continuous deepening reform. In 1997, China established an interbank bond market for institutional investors, adopting an OTC inquiry-driven trading manner. After more than 20 years of development, the interbank bond market has expanded its size, reinforced its role in financing, broadened its participants and product offerings, and refined its financial market infrastructure. Healthy competitive relationship has been formed between the interbank market and the exchange market, jointly promoting the rapid development of China's bond market.



Figure 1-3: Composition of China's Bond Market

1.2.1 Market Scale and Product Types

By the end of 2025, the outstanding volume of China's bond market reached 196.7 trillion yuan, of which the interbank bond market accounted for 173.7 trillion yuan, representing 88.3% of the total. Over the past decade (2016- 2025), the average annual growth rate of the interbank bond market's outstanding volume was 11.9%. At the end of 2024, China's bond market accounted for 134% of GDP, which remains lower than that of major economies such as the United States and Japan, indicating significant room for further development. By issuer, the products in the interbank bond market include government bonds, financial bonds, and corporate credit bonds. Since 2023, bond market interest rates have shown a fluctuating downward trend, with the yields to maturity of debt financing instruments generally lower than the LPR of the same maturity.

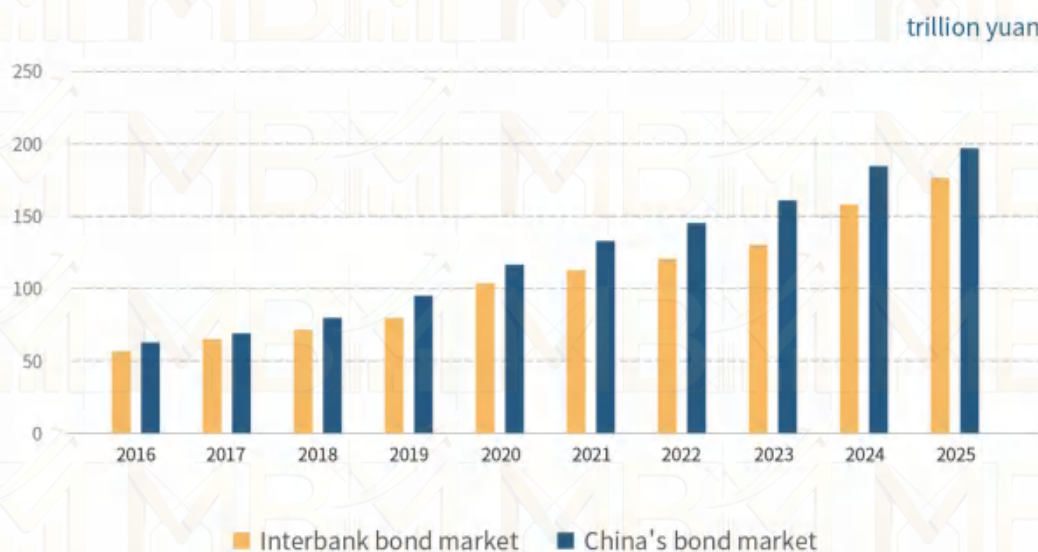


Figure 1-4: Outstanding debt volume of the Interbank Bond Market

Source: People's Bank of China

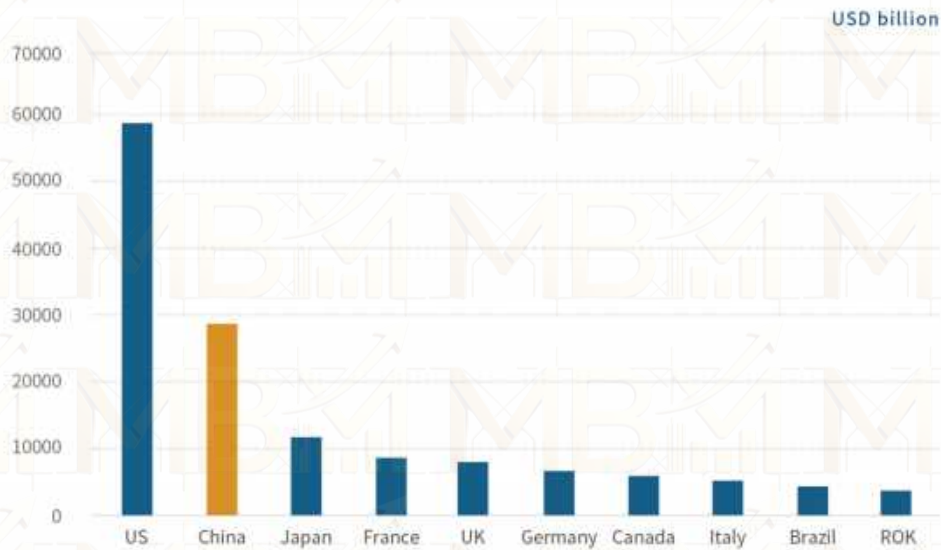


Figure 1-5: Outstanding volume as of the end of Q2 2024

Source: Bank for International Settlements

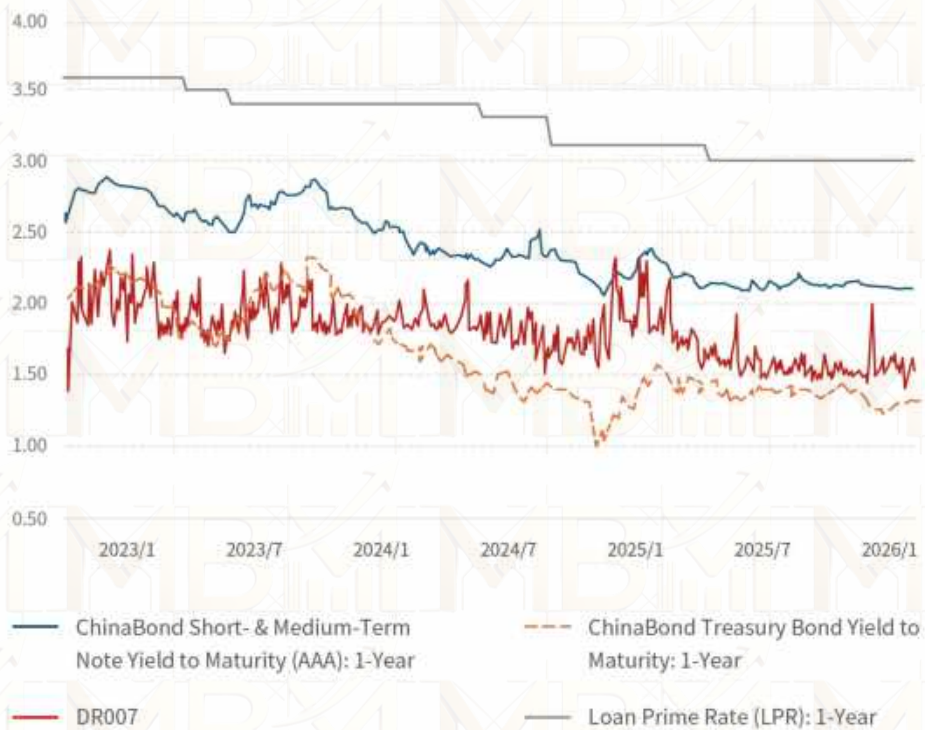


Figure 1-6: Various Short-term Interest Rates (%)

1.2.2 Investor Structure and Trading Activity

The interbank bond market is characterized by a diverse range of investor types. The investor base is broad in number, varied in type, and decentralized in holdings. As diversification grows, product variety expands, market mechanisms are refined, market transparency improves, trading activity has continued to rise. In 2025, spot trading volume in the interbank bond market reached 381.1 trillion yuan, with benchmark products such as China Development Bank bonds and government bonds demonstrating significant liquidity advantages.



Figure 1-7: Investor Structure of CIBM

Source: CCDC, SHCH

1.2.3 Market Governance and Infrastructure Framework

The interbank bond market has established a unified and tiered management structure. The PBC performs its regulatory duties for the interbank bond market in accordance with the law; the China Securities Regulatory Commission (CSRC) conducts cross-market law enforcement in the interbank

bond market, investigates and cracks down on major illegal and irregular behaviors; NAFMII, under the guidance of the PBC, is mainly responsible for the front line self-regulation of the market. The trading platforms of the interbank bond market are the China Foreign Exchange Trade System (CFETS) and the Beijing Financial Asset Exchange (CFAE), and the depository and custodian institutions are the China Central Depository & Clearing (CCDC) and the Shanghai Clearing House (SHCH). CCDC is the primary depository and custodian for government bonds, financial bonds issued by policy banks and other certain products, while SHCH is the primary depository and custodian for corporate credit bonds and certain innovative products.

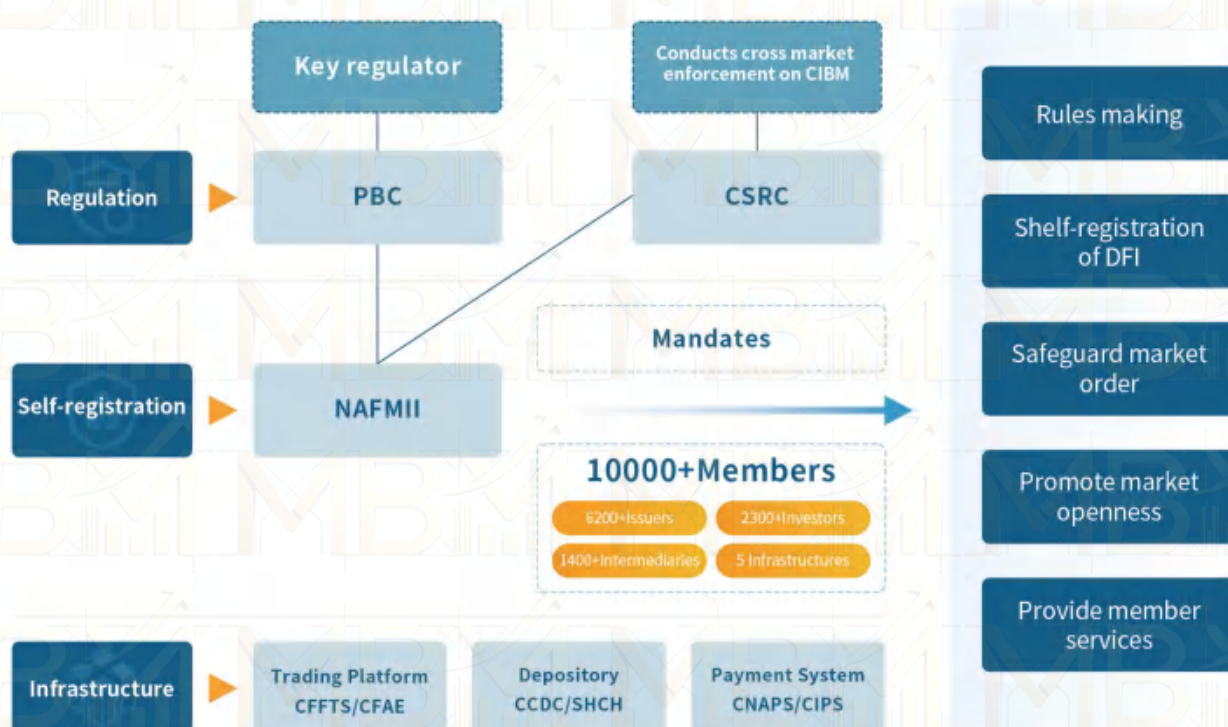
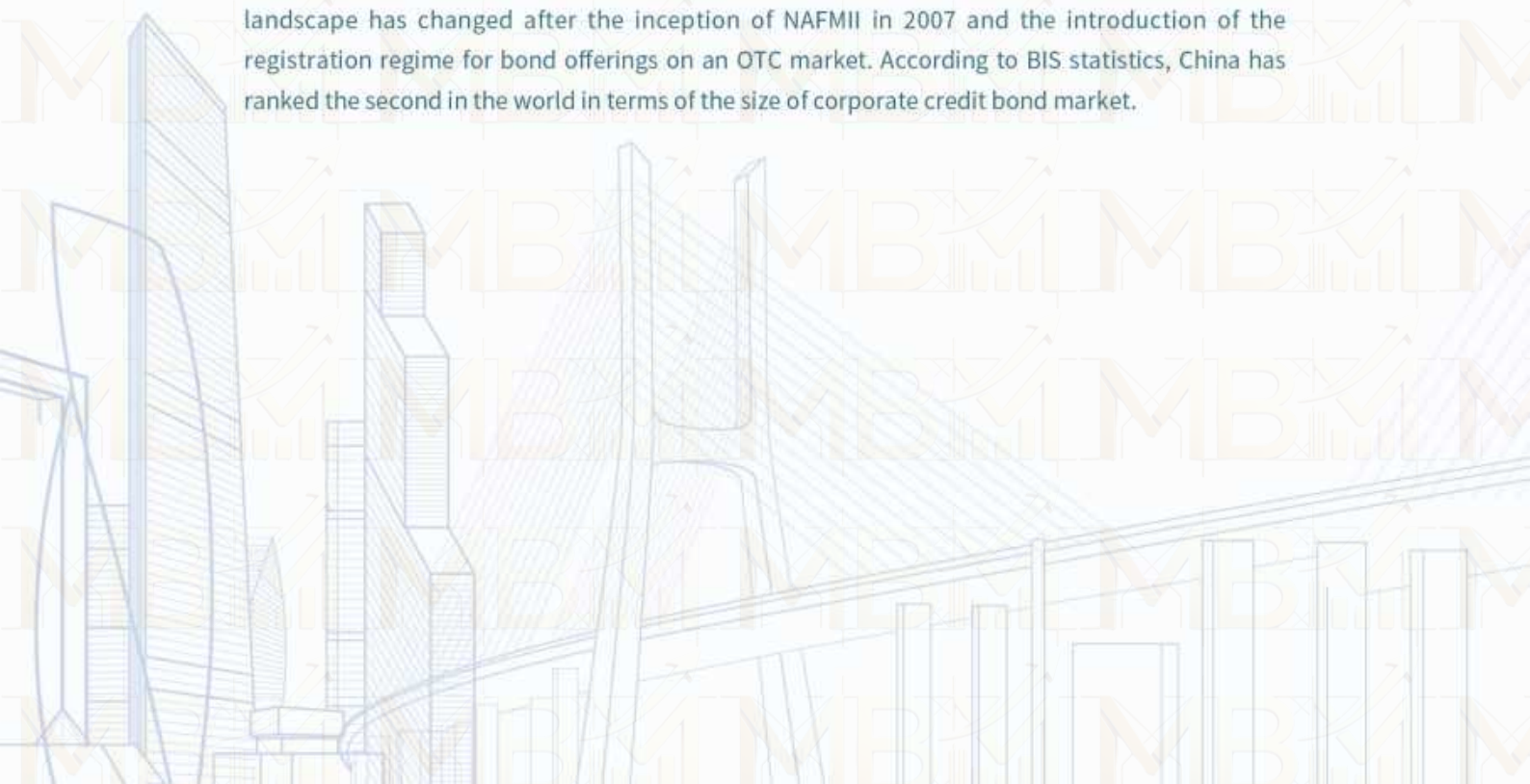


Figure 1-8: NAFMII is a self-regulatory organization of the interbank market



Improving Bond Market Operation Mechanisms & Advancing Market-Oriented Reforms

China's corporate credit bond market developed at a relatively slow pace before 2004. This market landscape has changed after the inception of NAFMII in 2007 and the introduction of the registration regime for bond offerings on an OTC market. According to BIS statistics, China has ranked the second in the world in terms of the size of corporate credit bond market.



2.1 Promoting Registration Regime Reform with a Market-Oriented Approach

The bond issuance registration regime is based on the principles of market orientation, professionalism and rule of law. It leaves more decisions to the market to determine - such as whether a company can issue bonds, how many bonds it can issue, at what price, and when to issue bonds. Under the premise of adhering to the concept of the registration system and market-oriented operation, the corporate credit bonds registered with NAFMII - the debt financing instrument (DFIs) market has formed a set of standardized and efficient system for registration and issuance. NAFMII continues to refine the management mechanism for registration and issuance, facilitating market participation and enhancing market vitality.

Table 2-1: the Registration Regime

Core	▶ Information disclosure by issuers	As the primary party responsible for information disclosure, the issuer shall disclose all the material information in a truthful, accurate, complete, timely and fair manner.
Basis	▶ Performance of duties by intermediaries	Intermediaries shall assist the issuer on information disclosure and provide investors with high-quality, independent, objective and professional opinions.
Premise	▶ Investors assuming risks for their investment decisions	Investors shall obtain adequate information, make investment decisions and assume risks therefor.
Procedure	▶ Registration review by NAFMII	NAFMII shall organize experts to review the truthfulness, accuracy, completeness and timeliness of the issuer's information disclosure without making any substantive judgments on the investment value of the bonds.
Safeguard	▶ Self-regulation of the market	A regulatory framework featuring the NAFMII self-regulation & market self-discipline.

Table 2-2: Improvements in the Regulatory Regime for Bond Registration and Issuance

Mechanism	Arrangements
Shelf issuance	After the bonds are registered with NAFMII and during the two-year validity period of the registration, the issuer may issue bonds at its discretion¹. Seasoned issuers may prepare one set of registration documents covering multiple types of debt financing instruments (referred to as "DFI Registration"). Under the DFI Registration regime, seasoned issuers are not required to set a registration amount at the time of registration. The first category of seasoned issuers enjoys further facilitation, with their registrations valid for three years. As the end of 2025, there were more than 240 seasoned issuers.
Private placement	- Investors qualified to invest in bonds offered through private placement include: specific institutional investors (X)² and specialized institutional investors (N)³ in the CIBM. In particular, specific institutional investors(X)are selected and determined by the issuer/enterprise and lead underwriters while a list of specialized institutional investors(N)has been released by NAFMII in accordance with the relevant procedures (as the end of 2025, the number of specialized institutional investors reached 502.) - Private placements allow for flexible negotiation between issuers and investors on terms, content, and methods of information disclosure.
Tiered management of enterprises	- Based on the enterprise's market position and information disclosure experience, issuers are classified under a differentiated registration and issuance mechanism. - Seasoned enterprises with good market reputation and experienced in information disclosure enjoy more convenience in streamlined registration and issuance processes.

¹ Certain issuers lacking in experience in bond issuance can issue bonds in its discretion within one year of the registration, and conduct bond issuance after such one-year period after making a filing with NAFMII.

² Investors are familiar with the targeted products and can identify and assume the related investment risks.

³ Investors have rich experience in participating in the primary market, have the capacity of risk identification and disposal, and can make independent investment decisions and bear risks.

2.2 Building a Transparent and Efficient Information Disclosure System

As the core of the registration regime, information disclosure is not only an important part of investor protection, but also the foundation for preventing systemic risks. Market transparency directly affects the efficiency of market operation.

The *Rules on Information Disclosure of Debt Financing Instruments of Non-Financial Enterprises in the Interbank Bond Market* issued by NAFMII requires issuers and other relevant parties to disclose information in a truthful, accurate, complete, timely and fair manner. The rules also emphasize the differentiated roles of rules, guidelines, and sample disclosure to establish a disclosure system that is "concise, effective, and highly readable." Furthermore, NAFMII will continue to refine the disclosure rules, and urge relevant parties to fulfill their duties and enhance information disclosure quality. CIBM has established post-issuance management obligations for bonds, with one of the most important being the ongoing information disclosure requirement, aimed at strengthening the protection of investors' rights and interests.

In order to further enhance the efficiency of information disclosure for frequent issuers, highlight the most relevant information, and facilitate investors' information analysis, NAFMII has drawn on international practices, including the European Medium Term Notes (EMTN), to innovatively introduce the Frequent Issuers Program (FIP) mechanism.

Under the FIP program, issuers shall disclose the "base prospectus plus supplemental prospectus" to register, and conduct the first offering of DFIs. For subsequent issuance, if there has been no new annual financial report, the issuer only needs to disclose the bond terms, use of proceeds (UoPs) and material events (if any) in the supplemental prospectus instead of making repetitive disclosure on other information already disclosed in the base prospectus.

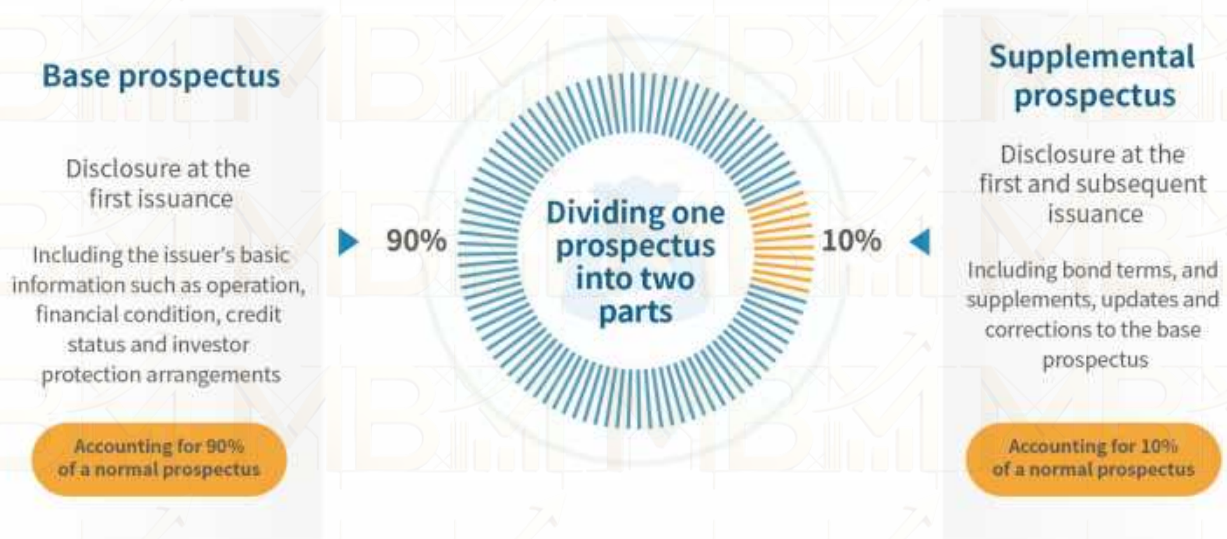


Figure 2-1: The FIP Program



2.3 Establishing a Fair and Impartial Bond Offering and Pricing Mechanism

There are two ways of bond offering, competitive tender and book-building. In practice, DFIs regulated by NAFMII are primarily offered via book-building. Market participants can choose book-building site provided that certain basic requirements (on policies and procedures, personnel, systems and premises, etc.) are met. PRC government bonds, PBC notes, policy bank bonds, and certain corporate credit bonds are issued through competitive tender. Investors can directly submit bids using the bond issuance system developed and operated by PBC.



Figure 2-2: Bond Issuance Process in the CIBM

To ensure the fairness and impartiality of price discovery which shall be conducted in an orderly manner, NAFMII has been strengthening self-regulatory supervision over bond offerings in recent years by releasing rules, initiating the execution of the Self-discipline Convention, and optimizing the book-building system. Such measures have addressed thorny issues in book-building, promoting a more transparent and market-oriented offering process (see Table 2-3).

Table 2-3: More Standardized, Transparent and Market-oriented Bond Issuance in the CIBM

Measures	Details	Targets
Formulating self-regulatory rules on bond issuance	Regulating the entire issuance process including information disclosure, price inquiry, book-building and subscription, pricing and allocation, settlement and distribution.	
Promoting market-oriented bond pricing	- Guiding issuer and investors to set a reasonable pricing range through price inquiry. - Bond pricing should be based on benchmark rates, taking credit risk, tenor, liquidity and other factors into consideration. - The interest rate range should reflect the yields of the issuer's comparable bonds or the market fair value. - Issuers shall not interfere with bond pricing nor determine coupon rate in violation of applicable regulations.	Promoting compliance and fair competition among market players.
Enhancing standardized operation and transparency of book building	- The subscription information shall be disclosed by book runner to the issuer and the syndicate members on a timely basis during the book-building process. - The syndicate members should share the above information with the investors in a timely manner. - Regulating the end-to-end operations of book-building.	Promoting the notions of market-oriented offerings, compliance and transparency.
Regulating standby commitment under writing and improving transparency	- Relevant information about standby commitment offering shall be disclosed. The syndicate members should share the above information with the investors in a timely manner. - Standby commitment should be only performed after the subscription session ends, and relevant orders should not crowd out the subscription orders. The rate for the underwriting commitment shall be set at the upper limit of the book-building range.	Improving the price discovery function of the bond market and the efficiency of resource allocation.
Other measures	- Initiating the execution of the Self-discipline Convention for underwriters to promote healthy competition. - Conducting self-disciplinary investigations and enforcement against some issuers and underwriters that have interfered with bond pricing. - Introducing a pilot program to refine bond pricing and allocation mechanism for overseas issuers.	

2.4 Providing Diverse Investor Protection Tools

The investor protection mechanism for DFIIs has been strengthened on a continuous basis, now covering the entire process of registration, issuance and post-issuance of bonds. Firstly, investor protection covenants can be included in the prospectus to deter the issuer's bad conduct, and at the same time, facilitate the resolution process upon the occurrence of a default. Secondly, the collective action mechanism, such as meeting of bondholders, trustee and consent solicitation, has been developed to provide investors with tools for orderly resolution of risks through collective actions. Thirdly, involved parties are encouraged to adopt diversified measures to mitigate risks and protect the legitimate rights and interests of all parties to the greatest extent.

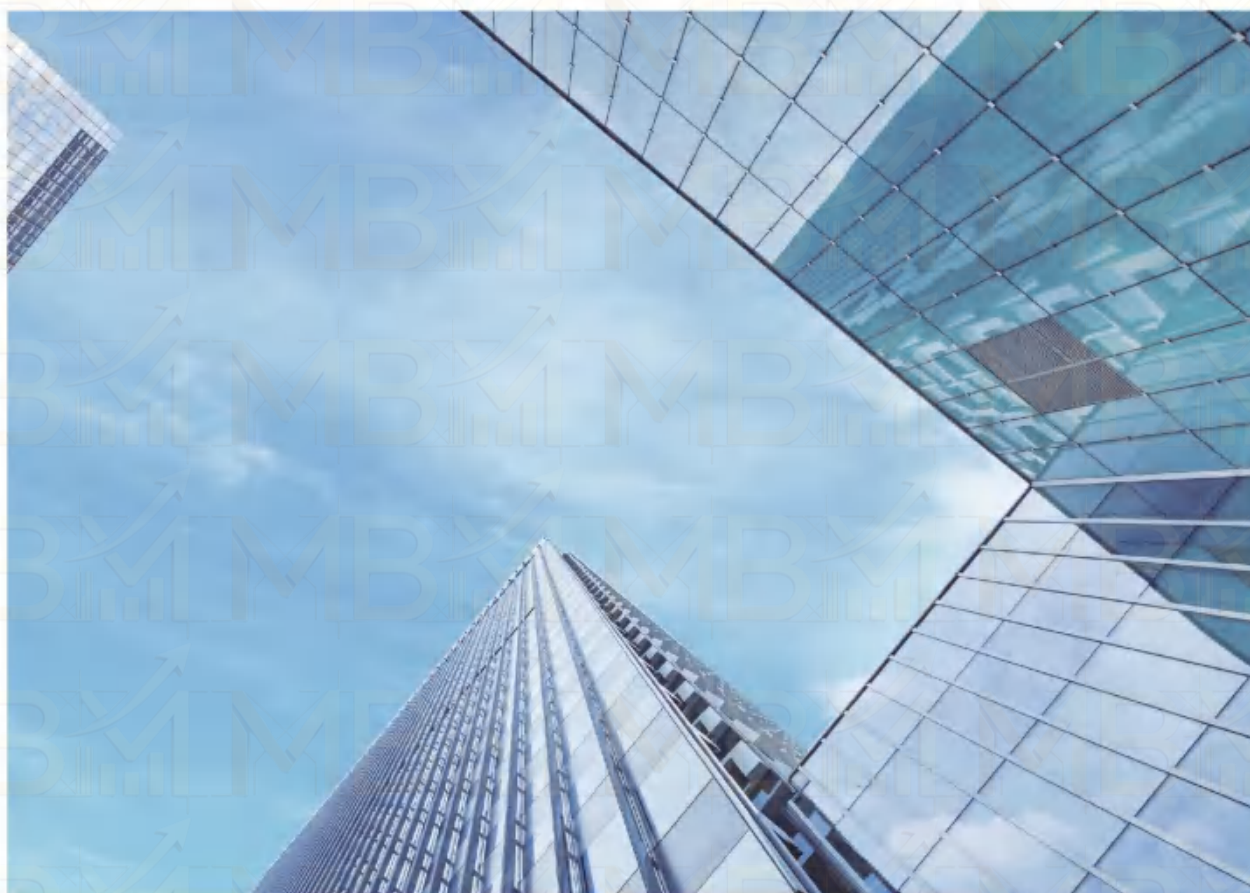


Table 2-4: Investor Protection Toolkit in the CIBM

Investor protection mechanism	Objectives	Contents	Market practices
Investor protection covenants	To protect investors and address their concerns to facilitate bond issuance.	Cross-default provisions, covenants, negative pledges, change of control clauses, debt repayment assurance, and asset mortgages and pledges.	Issuer shall make relevant covenants in the bond terms to address investors' concerns.
Meeting of bondholders	To promote sound interaction between issuers and bondholders to reach consensus on actions through collective actions by bondholders.	NAFMII has published the Detailed Rules of Bondholder Meetings to regulate the parties calling bondholders meetings, triggering events, and rules and procedures for convening the meeting, voting and other matters.	It serves as a platform for bondholders to express their reasonable demands and assert legitimate rights, and also the most important means for issuers and investors to negotiate and carry out liability management.
Trustee	To solve the difficulties in bondholders taking collective actions and take concerted actions to exercise rights on behalf of bondholders.	The trustee is retained by the issuer to supervise, on behalf of the bondholders, the issuer's performance of its obligations during the life of the bonds and act on behalf of the bondholders upon the occurrence of an event of default on the bonds. Responsibilities: manage and dispose of collateral, represent bondholders in restructuring debts, file lawsuits and participate in bankruptcy proceedings.	As of the end of 2024, a total of 96 institutions of various types have registered with NAFMII as DFIs trustee.
Consent solicitation	To efficiently modify bond terms to protect investors' rights and facilitate the issuer to conduct liability management.	The issuer proactively solicits feedback from the bondholders on modifications to bond terms and other important matters affecting the rights of bondholders. The bondholders submit a confirmation to specify whether they agree or not to give consent.	NAFMII introduced the consent solicitation mechanism to the CIBM in April 2022, requiring market participants to adopt this mechanism in compliance with applicable regulations.
Various other risk resolution measures	To improve the efficiency of risk resolution, protect the rights and interests of bondholders in debt resolution and help distressed issuers with liquidity difficulties survive the crisis.	Including amending basic repayment terms, repaying the debt with assets (e.g. goods or equities) to retire the bonds, and providing a trading/transfer mechanism for defaulted bonds.	NAFMII has issued the Guidelines for Bond Default and Credit Risk Disposal. Currently, various other risk resolution measures have been widely adopted by market participants.

2.5 Constructing Efficient and Convenient Bond Trading Mechanisms

Market participants can trade cash bonds, bond repurchases (repos), bond lending and bond forward in the CIBM, deploying the following trading mechanisms: bilateral trade, click-to-trade, request for quotation (RFQ), and X-trade. Market makers continuously provide two-way spot bond quotes to the market and respond to market inquiry requests, while money brokers offer trade-matching services to clients, contributing to price discovery and enhancing market liquidity.

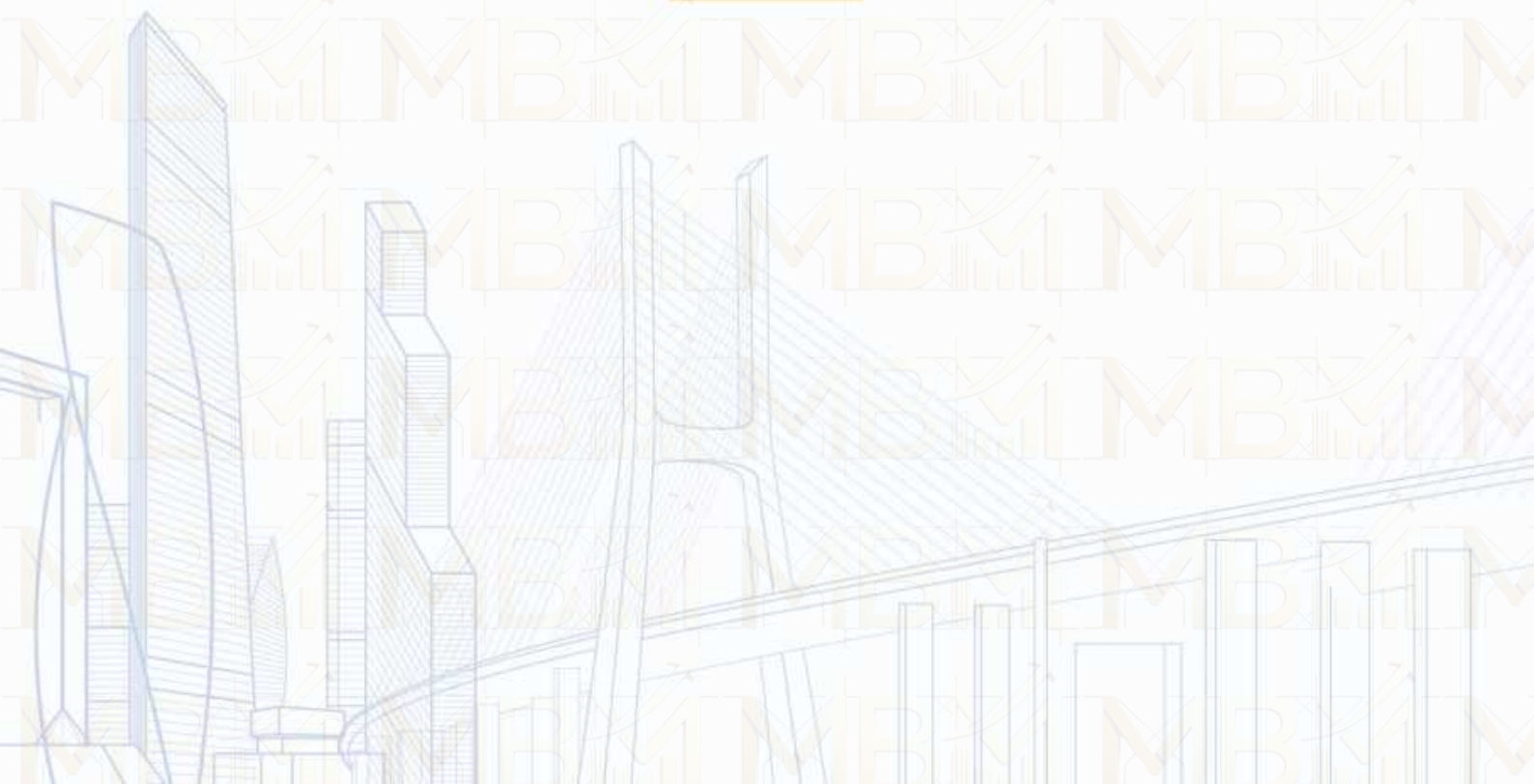
Table 2-5: Trading Mechanisms in the CIBM

Trading mechanism	Introduction	Products
Bilateral trade	Both counter-parties negotiate transaction details between themselves and conclude the trade through bilateral communication.	Cash bonds, pledged repos, title-transfer repos, bond lending and bond forward
Click-to-trade	Market makers issue public and tradable quotations, and investors can conclude trades in a click-and-trade manner.	Cash bonds
RFQ	Investors send a request for quotation to market makers. Market makers reply with quotations. Investors can choose to accept such quotations to execute the trade.	Cash bonds, pledged repos
X-trade	Investors submit anonymous orders to the trading system. Based on the bilateral credit line granted by the two counter-parties to each other, the trading system will match the orders following the principle of price-time priority. Open orders that are not matched with other orders are available for click-to-trade.	Cash bonds, pledged repos, bond lending

Market liquidity in the CIBM continues to improve. In 2025, the cash bond trading volume in the CIBM reached 381.1 trillion yuan.



Enriching Bond Market Product
Supply to Meet Diversified
Investment & Financing Needs



3.1 A Broad Spectrum of Bond Products in the CIBM

Debt securities in the CIBM can be classified into three major categories based on issuer: government bonds, financial bonds, and corporate credit bonds. Government bonds include government bonds and local government bonds; financial bonds consist of bonds issued by policy banks, commercial banks and non-bank financial institutions, but mainly issued by commercial banks; and corporate credit bonds are composed of non-financial enterprise debt financing instruments (DFIs) and bonds issued by listed companies (enterprises).



Figure 3-1: Bond product structure of the CIBM (by outstanding volume as of the end of 2025)

Source: Wind

The segment of bonds registered with NAFMII consists of a broad spectrum of bonds with the framework of "basic products + specialized products + derivatives". Basic products are categorized into corporate credit bonds, structured products and bonds issued by overseas institutions; specialized products are classified according to special purposes or issuers, as well as special terms or transaction structures; and derivatives mainly include credit risk mitigation instruments.

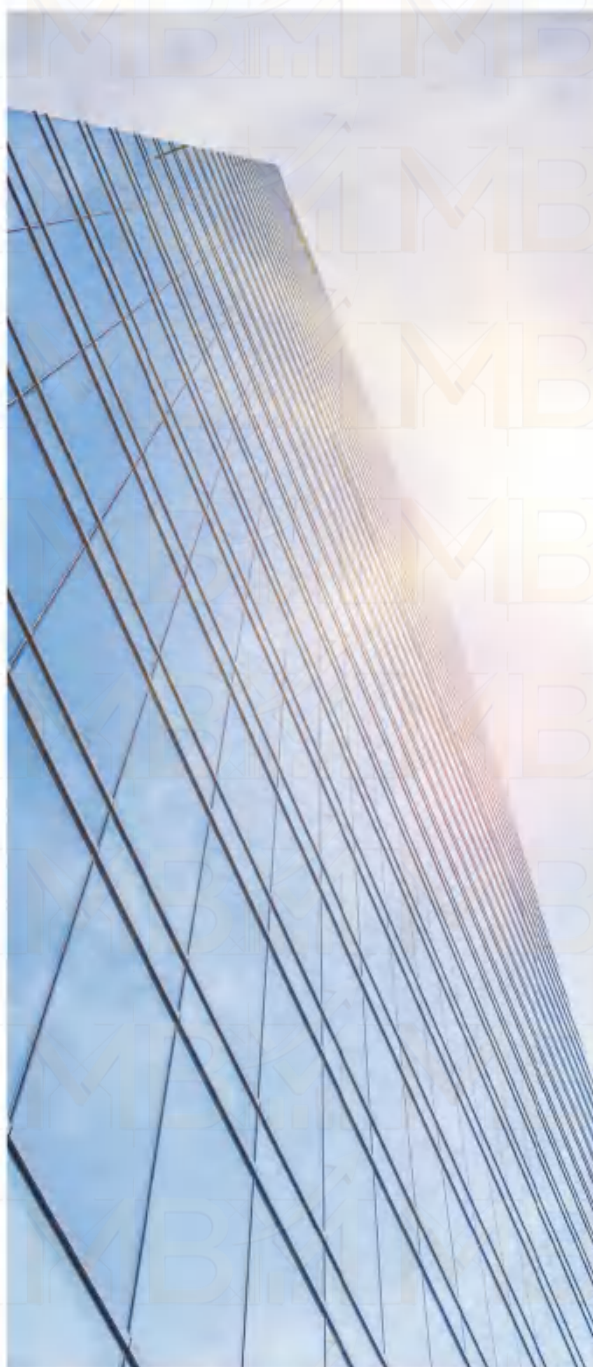
Table 3-1: The spectrum of NAFMII products (2025)

Basic products				Specialized products			
Category	No.	Name	Launch Time	Category	No.	Name	Launch Time
corporate credit bonds	1	Commercial paper （CP）	2005	specific issuing entities or use of proceeds	1	SME collective bond	2009
	2	Medium-term note （MTN）	2008		2	Green bond （GN）	2016
	3	Super short-term commercial paper （SCP）	2010		3	—Blue bond	2020
	4	Private placement note （PPN）	2011		4	—Carbon neutral bond	2021
structured products	5	Asset-Backed Note （ABN）	2012		5	Rural revitalization bond	2021
		—REITs-ABN	2022		6	Social bond	2021
	6	Asset- backed commercial paper （ABCP）	2020		7	Sustainability bond	2021
	7	Covered bond （CB）	2022		8	Transition bond	2022
		—Private enterprise covered bond	2024		9	Sci-Tech innovation bond	2025
bonds issued by overseas institutions	8	Bond issuance by foreign governmental agency and international development institution issuers	2015	special bond terms or transaction structures	10	—Hybrid Sci-Tech innovation bond	2025
	9	Debt financing instruments of overseas non-Financial Enterprises	2015		11	M&A bond	2025
			12		Floating-rate bond	2009	
			13		Perpetual bond	2013	
			14		Convertible bond	2013	
			15	Project revenue bond	2014		
			16	Sustainability-linked bond （SLB）	2021		
Derivatives							
Category			No.	Name			Launch Time
Credit risk mitigation instruments			1	Credit risk mitigation warrant （CRMW）			2010
			2	Credit risk mitigation agreement （CRMA）			2010
			3	Credit default swap （CDS）			2016
			4	Credit-linked notes （CLN）			2016

Box I

Development of the Floating-Rate Bond Market

Floating-rate bonds, where interest payments are periodically adjusted based on market reference rates, offer features such as hedging against interest rate risks and relatively stable valuations. In 2025, China's floating-rate bond market maintained steady development momentum, with a total issuance of 477.6 billion yuan, up 248% year-on-year. Issuers have become more diversified, with policy banks remaining the primary issuers, accounting for 73%. 22 commercial banks issued 124.8 billion yuan in floating-rate financial bonds, marking their return to the market since 2013. Non-financial enterprises also sustained their participation, with floating-rate debt financing instruments amounting to 5.0 billion yuan, represent a year-on-year increase of 67%. The institutional foundation and market ecosystem continued to improve. NAFMII released the *White Paper on the development of China's Floating-Rate Bond Market*. Multiple research institutions and news outlets have continuously published studies and updates on floating-rate bonds, while valuation agencies and financial infrastructure providers have actively promoted the improvement of institutional mechanisms, such as pricing and valuation models for floating-rate bonds and system upgrades.



3.2 Bond Market Development Supports Technology Innovation

Market innovation has been deepened to empower science and technology innovation sectors. Since 2025, a series of policy measures have been implemented. On May 7, PBC and the China Securities Regulatory Commission (CSRC) jointly released the *Announcement on Matters Concerning Supporting the Issuance of Sci-tech Innovation Bonds*, encouraging three types of institutions - financial institutions, technology enterprises, and equity investment institutions - to issue Sci-Tech innovation bonds. This initiative aims to establish a "technology board" within the bond market, channeling financial resources precisely into science and technology innovation sectors. By the end of 2025, these three types of institutions had issued over 1.8 trillion yuan. Among these, the interbank market facilitated the issuance of over 1 trillion yuan, with proceeds primarily directed toward cutting-edge fields including artificial intelligence, integrated circuits, new materials, and new energy, effectively fostering the cultivation and development of new productive forces.





BOX II

Sci-Tech Innovation Bonds in 2025

On May 7, NAFMII issued the *Notice on Launching Sci-Tech Innovation Bonds to Establish a 'Technology Board' in the Bond Market*. Focusing on six key areas—expanding issuers, broadening applications, reducing disclosure requirements, invigorating issuance mechanisms, improving credit ratings, and enhancing credit support—the notice aims to improve the bond market's alignment with scientific and technology innovation.

In terms of institutional innovation, **firstly, the scope of issuers has been expanded to include private equity firms**. Sci-Tech Innovation Bonds specifically incorporates private equity institutions, enhancing enterprises' capacity to invest in technological innovation by supporting bond issuance by such entities. **Secondly, the use of proceeds has been broadened**. Technology-based enterprises may allocate funds toward daily operations, R&D investments, and M&As, while private equity firms can leverage capital through fund contributions and equity investments to channel more resources into technological innovation. **Thirdly, information disclosure arrangements have been optimized**. Recognizing confidentiality needs among certain technology enterprises and equity investment institutions, companies may apply for exemptions from disclosing sensitive information. **Fourthly, multi-dimensional innovation mechanisms have been established**. Rating agencies are encouraged to refine rating models applicable to technology enterprises; issuance terms such as convertible bonds and installment repayment are being explored; and the risk-sharing tools created by the PBC are being utilized to foster synergy with local guarantee resources and credit enhancement institutions.



Since the launch of Sci-Tech Innovation Bonds, the market response has been enthusiastic. **Firstly, the total volume is substantial.** The interbank market supported 317 non-financial enterprises in issuing bonds worth 704.8 billion yuan, covering 264 technology-based enterprises and 53 equity investment institutions, achieving effective synergy between policy guidance and market demand. **Secondly, private enterprises are well represented.** The interbank market has intensified support for private enterprise financing, backing 76 private enterprises in issuing 134.6 billion yuan. This accounts for 19.1% of all Sci-Tech Innovation Bonds in the interbank market and over 90% of the total market size for private enterprise Sci-Tech Innovation Bonds. **Thirdly, the ecosystem is vibrant.** 39 enterprises with strong innovation capabilities were introduced to issue bonds for the first time in the interbank market, broadening financing channels for such enterprises. **Fourthly, the long-term maturity demand is met.** The proportion of Sci-Tech Innovation Bonds with a tenure of 3 years or more issued by sci-tech enterprises exceeds 50%. All bonds issued by equity investment institutions have a tenor of 3 years or longer, with an average maturity of 5.92 years. **Fifthly, credit enhancement is comprehensive.** 49 bonds benefited from credit enhancement measures. Among them, 39 received market-based guarantees, 8 private equity institutions utilized risk-sharing tools, combining government backing with market-driven guarantees.

3.3 Bond Market Development Supports Green Development and Low-Carbon Transition

In recent years, guided by the concept of green development, China's green bond market has continued to flourish. In 2025, the total issuance of green bonds nationwide amounted to 1.1 trillion yuan, representing a year-on-year increase of 58%, with the outstanding volume reaching 2.4 trillion yuan. Following 2023, China once again became the world's largest green bond issuer. The interbank green bond market has shown strong momentum. As of the end of 2025, the cumulative issuance volume of green Debt Financing Instruments (including green ABN) exceeded 1.55 trillion yuan, with the outstanding volume standing at approximately 600 billion yuan, ranking first in China's green corporate credit bond market. Specifically, the issuance in 2025 reached 313.4 billion yuan, accounting for 63% of green corporate credit bonds. Furthermore, cumulative issuance of transition-related products, such as Sustainability-Linked Bonds, Transition Bonds, reached 131.6 billion yuan, supporting enterprises in high-carbon industries towards low-carbon transition.

Efforts were made to unify green finance standards and strengthen the implementation and alignment of green policies. In June 2025, the PBC and other authorities released the *Catalogue of Projects Supported by Green Finance (2025 Edition)*, achieving unified standards for green finance instruments including green loans and green bonds. In September, NAFMII led the China Green Bond Standard Committee (CGBSC) to issue the *Notice on the Working Mechanism for the Application of the Catalogue of Projects Supported by Green Finance (2025 Edition)* to Green Bonds, clarifying the application rules for various stages including green bond registration, issuance, and post-issuance management, thereby ensuring a smooth transition between the previous catalogue and the current one. The CGBSC also established an end-to-end supervision and verification system featuring "full self-inspection + cross-check + on-site inspection", which focused on standardizing the practices of third-party verification and certification providers. Additionally, in July, NAFMII launched the China Green Bond Information Service Platform, which offers 8 core functions, including visual presentation of green bond items and tracking of proceeds usage, providing full-process online support for participants in the green bond market.

3.4 Bond Market Supports Sustainable Development Goals

Guided by the 2030 Agenda for Sustainable Development, green, social, sustainability and SLB bonds (hereinafter referred to as "GSSS") undergone rapid development globally, with an aggregate issuance amount over USD 1 trillion in 2024 and an estimated issuance amount of USD 1.046 trillion in 2025⁴.

Table 3-2: Classifications of GSSS bonds

GSSS bonds	Use of Proceeds
Green bonds	➤ All proceeds are used for projects with obvious environmental benefits, including climate change mitigation, renewable energy, natural resource protection, biodiversity protection and pollution prevention
Social bonds	➤ All proceeds are used for projects with obvious social benefits, including affordable basic living facilities, health care, education and medical care, facilities for the elderly, facilities for the disabled, and food safety
Sustainability bonds	➤ All proceeds are used for projects with obvious environmental and social benefits
SLBs	➤ Linking bond terms to the issuers' SDG targets by setting KPIs and SPTs

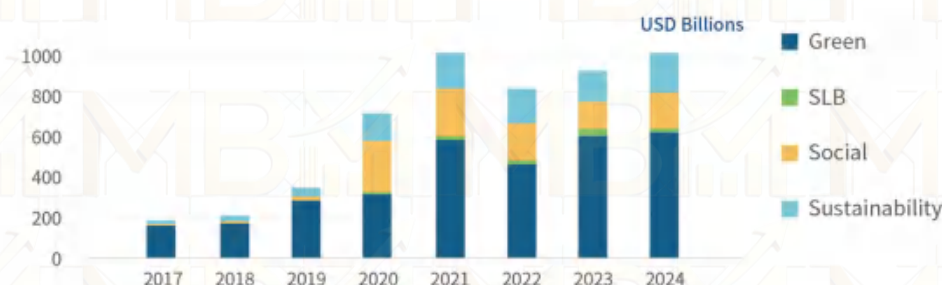


Figure 3-2: Global GSSS Bond Issuance in recent years

Source: Climate Bonds Initiative

⁴ The data source is Environmental Finance, which includes transition bonds.

China's bond market has become a significant force in financing sustainable development globally. In September 2021, NAFMII launched a pilot program to facilitate offerings of social bonds and sustainability bonds by overseas issuers in the CIBM. These instruments require the proceeds shall be exclusively allocated for sustainable development purposes, channeling financial resources to support environmental and social sustainable development. A number of overseas issuers have issued social bonds and sustainability bonds, attracting many ESG investors. By the end of 2025, overseas institutions had issued a total of 63.1 billion yuan of GSSS bonds in the interbank market.

Table 3-3: Cases of Social Bonds and Sustainability Bonds issued by Overseas Issuers

Issuer	Issuer type	Bond type	Use of proceeds
A	International development institution	Sustainability bonds	Issued under the issuer's Sustainable Development Bond Framework For qualified sustainability spending under the issuer's sustainable financing framework such as climate-resilient agriculture, clean transportation, sustainable water and wastewater management, health, affordable housing, infrastructure, digital infrastructure, renewable energy and biodiversity protection
B	Foreign governmental agency	Sustainability bonds	
C	Overseas non-financial enterprises	Sustainability bonds	For sewage treatment, smart buses, new energy vehicle procurement, health care and other projects
D	Overseas non-financial enterprises	Social bonds	For collective purchase of feed from farmers or agricultural cooperatives in low-income and remote areas to help low-income groups obtain a stable and considerable source of income and decent jobs

3.5 Asset Securitization Supports Inventory Activation and Inclusive Finance

In 2025, the development of enterprise securitization achieved encouraging outcomes. Firstly, implementing the policy directive to leverage financial support to boost consumption. The issuance of ABN by Internet platforms and auto leasing companies was advanced steadily, totaling 353.9 billion yuan throughout the year, intensifying efforts to support micro and small enterprises (MSEs) and stimulate consumption. Secondly, supporting private, micro and small enterprises to revitalize their existing assets. Covered bonds (CB) were issued by private enterprises with an annual issuance of 5.4 billion yuan. In collaboration with the Shanghai Commercial Paper Exchange, NAFMII piloted supply chain note securitization, achieving an annual issuance of 900 million yuan and supporting over 170 private MSEs in revitalizing their commercial note assets. Thirdly, striving to help technology-driven enterprises revitalize intellectual property. The cumulative issuance of intellectual property asset securitization has achieved 2.6 billion yuan. NAFMII promoted sci-tech innovation asset securitization by supporting initiators and enterprises with eligible underlying assets to issue 22.4 billion yuan in 2025. Fourthly, supporting state-owned enterprises (SOEs) in revitalizing existing assets. Central SOEs were supported to issue 90.2 billion yuan of ABN in 2025, which revitalized assets such as accounts receivable and new energy subsidies and improved their balance sheet structures. Through securitization products like real estate trust asset-backed notes (REITs-ABN) and commercial mortgage-backed notes (CMBN), nearly 106.6 billion yuan was raised for local SOEs, revitalizing assets in sectors such as transportation, energy, and environmental protection to bolster local economic transformation.



Box III

Optimizing M&A Bonds Mechanisms

In December 2025, NAFMII released the *Notice on Optimizing Working Mechanisms for M&A Bonds*, refining related mechanisms to guide funds in precisely supporting corporate mergers and acquisitions (M&A) and restructuring. **Firstly, use of proceeds was flexible to meet the need from key areas.** The proceeds from M&A Bonds can be flexibly used for purposes such as paying M&A consideration or repaying M&A loans, while it is explicitly stated that priority support is given to M&A activities facilitating the transformation and upgrading of traditional advantageous industries, the development of strategic emerging industries, and the layout of future industries. **Secondly, information disclosure arrangement was improved to satisfy M&A need.** In line with the practical requirements of M&A deals, ongoing projects may simplify or be exempted from disclosing sensitive information such as the

target company's name during the issuance stage to meet commercial confidentiality needs.

Thirdly, issuance convenience was enhanced to improve service quality and efficiency. A "green channel" is established for the registration and issuance of M&A Bonds, featuring immediate review upon submission, effectively improving issuance efficiency and promoting high-quality development of the market. Since the mechanism was launched until the end of 2025, a cumulative total of 9 enterprises has issued M&A Bonds amounting to 12.3 billion yuan. The proceeds raised have been directed towards strategic emerging sectors such as wind power generation, new energy batteries, and high-end equipment manufacturing, facilitating industrial resource integration and transformation and upgrading.



PART 4

Offering Diversified Risk Hedging Tools to Enhance Risk Management & Price Discovery

By providing a wide range of financial instruments (including financial derivatives, bond repos and bond lending, etc.), the interbank market facilitates market participants to hedge risks cater to their business needs, boosts trading activities and promotes price discovery. With the release of the *Futures and Derivatives Law*, single agreement and close-out netting are well recognized. This has further ensured the safety and stability of derivatives trading and promoted a more standardized, transparent, vibrant, and resilient OTC derivatives market in China.



4.1 Financial Derivatives Market and Master Derivatives Agreement

China's interbank derivatives market has witnessed rapid growth in recent years. A spectrum of comprehensive and actively traded derivatives products have been developed. In 2025, the trading volume of the interbank derivatives market was around 258.5 trillion yuan, of which interest rate derivatives (IRDs), foreign exchange derivatives (FXDs) and credit derivatives (CDs) contributed 58.2 trillion yuan, 200.2 trillion yuan, and 58.3 billion yuan, respectively.

IRDs include interest rate swaps (IRS), forward rate agreements (FRAs), bond forwards, standard bond forwards and interest rate options. IRS is the most active IRD and interest rate hedging instrument. As of 2025, the trading volume reached 44.1 trillion yuan. Maturities range from one year to thirty years. Short-term products (one year to three years) are very active. The reference interest rate include FR007, SHIBOR 3M, SHIBOR O/N, LPR1Y and LPR5Y, with FR007 being the most active, recording a trading volume of 43.2 trillion yuan. Furthermore, the Swap Connect has continued to expand since its introduction. In 2025, the one-year LPR contract was added, and standardized interest rate derivatives under Swap Connect were launched. The clearing volume of Swap Connect amounted to 5.3 trillion yuan in 2025, representing a year-on-year growth of 45%.

FXDs include RMB/FX Forward, RMB/FX Swap, RMB/FX Cross Currency Swap, RMB/FX Option and foreign currency pair derivatives trading. Trading modes include bidding, RFQ and matching. The Renminbi can be traded against currencies such as the US dollar, Euro and British pound, etc. In 2025, the trading volume reached 200.2 trillion yuan.

Credit derivatives comprise two types of products: One is bilateral contract products, including Credit Risk Mitigation Agreement (CRMA), Credit Default Swap and indices (CDS/CDX). The other is warrant-like products, including Credit Risk Mitigation Warrant (CRMW) and Credit-Linked Notes (CLN). They are established in a "one-to-many" manner, with issuance information disclosed to investors. They are centrally registered and custodied at the SHCH and can be traded on the secondary market.

NAFMII has introduced an innovative way of bond financing supported by CRMW since 2018. The credit protection seller offers a corresponding CRMW at the time of bond issuance. Bond investors can then purchase the CRMW on demand, which supports corporate bond financing and meets the bond investors' demand for risk hedging. Currently, trading volumes across various product types are relatively balanced, serving to hedge against credit risk and credit spread volatility risk. In 2025, the trading volume of credit derivative reached 58.32 billion yuan.

NAFMII has issued a number of standard derivative contracts to promote the standardization of derivatives trading and facilitate the steady and efficient development of the derivatives market. Such documentation includes master agreements of financial derivatives and related credit support documents, definitions covering trading terms for various types of derivatives, and other documents formulated in line with the benchmark reform and the development of the credit derivatives market.



Box IV

Variation Margin Documentation Supports Non-Centrally Cleared Derivatives Margin Requirements implementation

To promote the standardized of the financial derivatives market and implement margin requirements for non-centrally cleared derivatives transactions, NAFMII released the *NAFMII Title Transfer Performance Assurance Document (Variation Margin—2025 Edition)* (hereinafter referred to as the Variation Margin PAD) in December 2025.

Variation margin is used to mitigate current exposure related to the daily mark-to-market value of netting sets for existing derivative transactions. As a supporting document to the NAFMII Master Agreement, the Variation Margin PAD accommodates both domestic and international compliance requirements, combining standardization with flexibility to provide market participants with a clear and practical standard documentation for implementing variation margin. The main contents include:

- Firstly, it specifies that variation margin shall be incorporated into arrangements such as close-out netting under the Master Agreement. If a derivative transaction has been early terminated, the value of transferred performance assuring asset shall be included in the Early Termination Payment Amount under the Master Agreement. The parties may offset the interest generated from cash performance assuring asset against the delivery or return amount and make a net payment.
- Secondly, it specifies the types of performance assuring asset and the exchange process. Eligible performance assuring asset includes RMB cash, designated foreign currency cash, as well as various types of government bonds, high-grade financial bonds, and corporate credit bonds. Additionally, when the risk exposure exceeds the Minimum Transfer Amount, the Collateral Provider shall transfer collateral to the Collateral Receiver, or the Collateral Receiver shall return any excess portion.
- Thirdly, preset options for certain provisions are established based on regulatory requirements and market consensus. The regulatory requirements specify details such as the settlement timelines for variation margin, the scope of eligible collateral, and standard haircut rates. These elements shall be incorporated into the agreement, with certain preset values predefined in line with market consensus.

- Fourthly, it clarifies the valuation and dispute resolution process. The parties may mutually designate the calculation agent to calculate the risk exposure and performance assuring asset value based on either the replacement transaction method or the market quotation method. If there is a disagreement regarding the calculation and delivery of performance assuring asset, the parties may conduct a revaluation or resolve the matter through negotiation. Failure to fulfill obligations within the specified timeframe will constitute an Event of Default.

In summary, the Variation Margin PAD clarifies the types of performance assuring asset, the settlement processes, valuation, and dispute resolution procedures, thereby enhancing transaction certainty. Through detailed clause interpretations and examples, it reduces discrepancies in understanding among market participants, improves negotiation efficiency, facilitates the implementation of margin requirements for non-centrally cleared transactions, and contributes to the steady development of China's financial derivatives market.



4.2 Repo market and Repo Master Agreements

The repo market is a crucial component of the financial market and a significant source of financing for financial institutions. In recent years, the interbank bond repo market has continuously deepened its opening-up. Since 2015, it has supported overseas sovereign institutions, offshore RMB clearing banks, and participating banks in conducting bond repo transactions within the interbank market. In 2025, the PBC and the Hong Kong Monetary Authority (HKMA) jointly launched offshore repo transactions targeting bonds under the Northbound Bond Connect. In September 2025, the PBC, the CSRC, and the State Administration of Foreign Exchange (SAFE) jointly issued an announcement on further supporting overseas institutional investors in conducting bond repo transactions in China's bond market, enabling overseas institutional investors eligible for spot bond trading in China's bond market to engage in bond repo activities.

The interbank market offers two types of repos: pledged repos and title transfer repos. Pledged repos are more prevalent in the domestic market compared to the international market. In 2025, the trading volume of pledged repo in the interbank market reached 1,517.5 trillion yuan, down 9.2% year-on-year; the trading volume of outright repo stood at 9.1 trillion yuan, up 7.1% year-on-year.

In 2013, NAFMII released the *Master Agreement for Bond Repurchase in China's Interbank Market (2013)* to enhance the efficiency of repo transactions, reduce legal costs, and mitigate market risks. In 2019, the *Standard Supplementary Agreement for Foreign Currency Outright Repos under the Master Agreement for Bond Repurchase Transactions in the China Interbank Market (2013 Version)* was released. By the end of 2025, more than 3,400 financial institutions and asset management product managers had signed over 76,000 copies of the master repo agreement in total.



4.3 Bond Lending Market and Lending Master Agreements

Bond lending is a financing activity where the borrower borrows underlying bonds from the lender with a specified amount of collateral. The borrower agrees to return the bonds at a future date in exchange for the collateral provided.

In June 2022, the *Bond Lending Master Agreement (2022)* was released, providing the market a standard template and multilateral signing mechanism. This has greatly facilitated the participation of market institutions, particularly small and medium-sized institutions. Investors have been diversified, extending beyond commercial banks and securities companies to encompass rural credit cooperatives, unincorporated products, and finance companies. The bond lending market has rapidly developed thanks to the continuous improvement in the regulatory regimes and the introduction of master agreements. In 2025, the market's transaction volume increased to 50.9 trillion yuan, a 27.3% increase year-on-year.

Box V

Overseas Institutions Can Conveniently Conduct Risk Hedging in the Interbank Market

As the market opening-up advances, overseas institutions have gained significantly greater convenience in using risk hedging tools when investing in the interbank market. Currently, overseas participants can directly access the interbank market to engage in interest rate swaps, bond forwards, forward rate agreements, foreign exchange forwards, foreign exchange swaps, and so on. In May 2023, regulatory authorities launched the "Swap Connect" mechanism, facilitating overseas institutions' participation in the domestic interest rate swap market for risk hedging. Under this mechanism, overseas institutions are not required to establish accounts with domestic infrastructures to execute domestic IRS transactions, reducing costs and enhancing convenience.

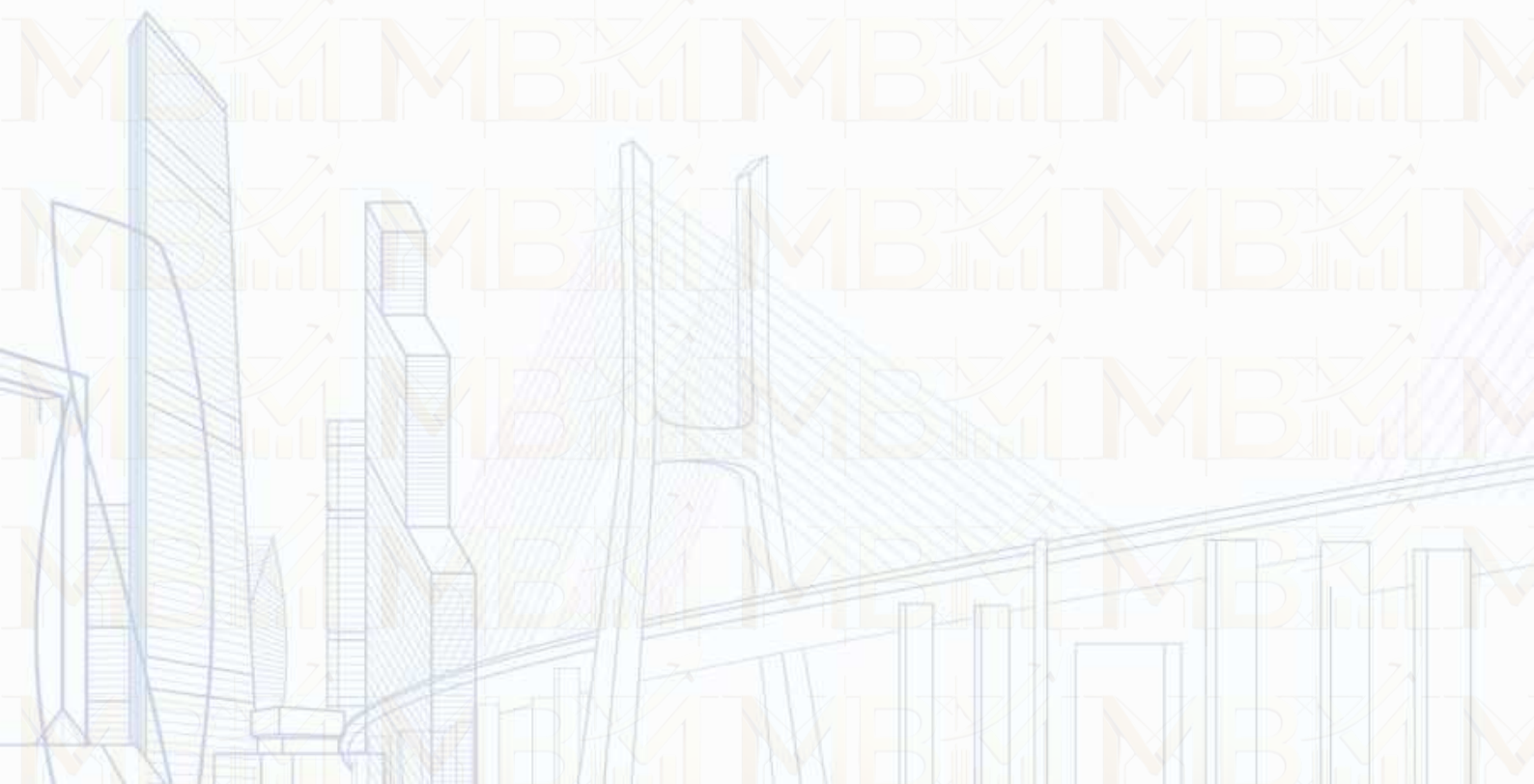
Table 4-1: Channels for Overseas Institutions to Participate in Domestic
RMB-denominated Bond Markets

Access Regimes	Types of Investors	Eligible Instruments					
		Cash Bond	Bond Lending	FRA	IRS	Bond Forwards	Repos
CIBM Direct (QFII/RQFII included)	Foreign central banks, international financial institutions and sovereign wealth funds	✓	✓	✓	✓	✓	✓
	RMB clearing banks and participating banks	✓	✓	✓	✓	✓	✓
	Other overseas institu- tional investors	✓	✓	✓	✓	✓	✓
Bond Connect	Identical to those under CIBM Direct	✓					✓
Swap Connect	Overseas institutional investors				✓		

Overseas institutions participating in the interbank market may choose the master agreement text based on their needs. For example, when conducting derivative transactions, they may opt for either the NAFMII Master Agreement or the ISDA Master Agreement. Meanwhile, the NAFMII has been continuously refining its agreement texts by introducing the cross-border version of the NAFMII Master Agreement and collaborating with ISDA to develop texts for the IBOR fallback mechanisms to facilitate more international investors. To date, 43 overseas institutions, including 41 financial institutions and two asset management product managers, have signed 183 derivatives master agreements. These include major dealers such as Standard Chartered Bank, Deutsche Bank, J.P. Morgan, and BNP Paribas, as well as multilateral organizations like the Asian Development Bank and the International Finance Corporation.

05 PART

Strengthening Self-regulation & Service
to Safeguard Market Development



5.1 Conducting Self-Disciplinary Investigations

Strengthening self-disciplinary investigation is a key measure for NAFMII to mitigate risks, enhance regulation, and promote high-quality development. It plays an important role in deterring market violations and fostering the standardized and orderly development of the interbank market. NAFMII has continuously improved the self-disciplinary investigation mechanisms, optimizing key procedures including case clue registration, case-filing assessment, inquiry and investigation, and cross-sector case transfer, to enhance the efficiency and quality of case processing.

In 2025, NAFMII stepped up efforts to crack down on violations and irregularities, initiating investigations into 158 cases throughout the year, an increase of more than 70% compared to the previous year. NAFMII attached equal importance to investigating major cases and addressing minor irregularities at an early stage. **For major cases**, NAFMII continued to conduct thorough investigations into improper benefit transfer, illegal account lending, non-market-oriented/structured bond issuance and other illicit activities. NAFMII also strengthened the collaboration with administrative regulatory authorities and public security authorities to enhance the effectiveness of joint disciplinary actions. It also conducted targeted rectification of unethical practices in bond underwriting business, such as rat race competition and lack of independence. Notably, NAFMII, for the first time, imposed self-regulatory sanctions over improper price guidance by issuers and launched investigations into banks failing to effectively segregate bond underwriting business from loan operations. Additionally, NAFMII took disciplinary actions against rating agencies for violating the principle of rating consistency and lack of independence. **For minor irregularities at an early stage**, NAFMII focused on taking swift and stringent actions against information disclosure violations by issuers and other relevant entities. It also carried out full-chain and penetration-style investigations into the use of proceeds.

NAFMII has continuously heightened market alert through case studies. In 2025, NAFMII organized a series of themed training programs targeting executives of issuers and specific types of investors such as urban commercial banks and rural commercial banks.

5.2 Implementing Self-Disciplinary Adjudications and Decisions

The self-disciplinary proceedings are determined by the self-regulatory committee formed and led by senior experts from various interbank market sectors. The decision process embodies and highlights the fundamental ideal of the interbank market, of which market issues are best settled through market-led discussions. As of the end of 2025, the self-regulatory committee had a panel of over 159 experts and issued self-disciplinary decisions to more than 1,400 entities across underwriting, issuance, trading and other related businesses.

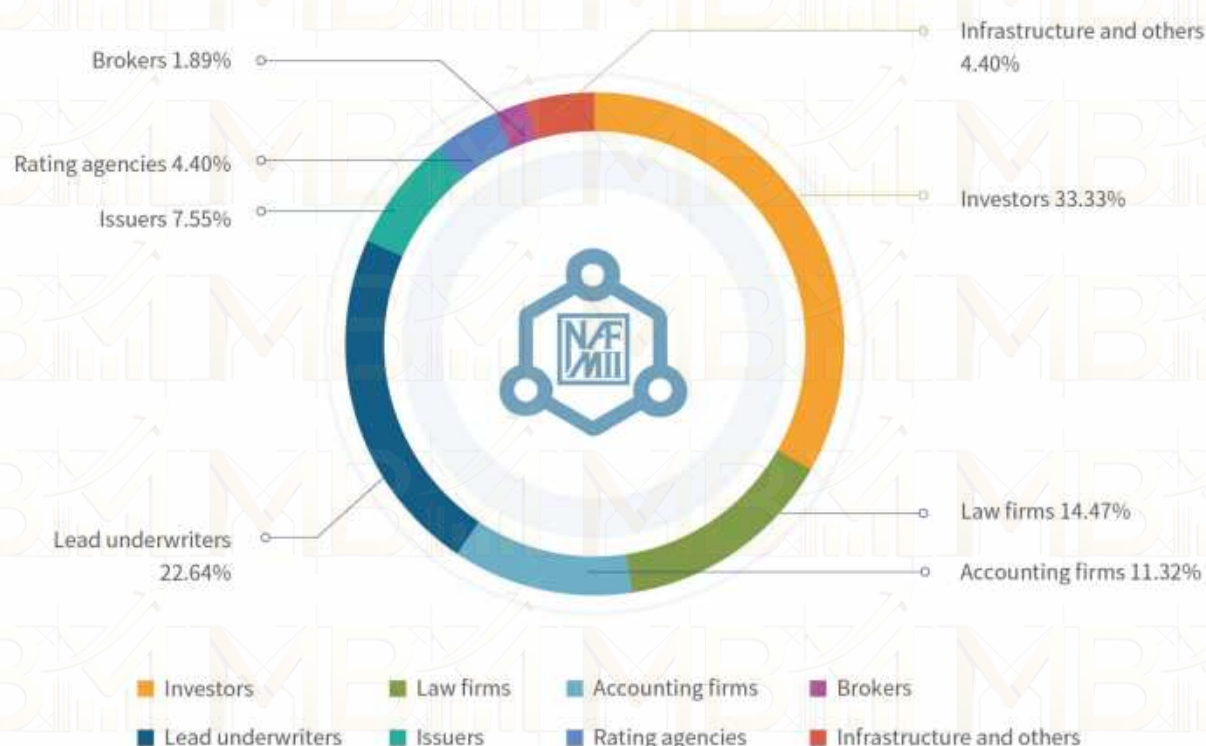


Figure 5-1: Breakdown of the self-regulatory committee experts of NAFMII

Depending on the severity of the case, NAFMII may impose reputational penalty in conjunction with self-disciplinary sanctions, including correction of misconduct, suspension of business, membership termination, declaration of inappropriate person, etc. In recent years, NAFMII maintains stringent oversight over the interbank market, with special focuses on bond issuance- and trading-related activities. Meanwhile, NAFMII keeps enhancing the effectiveness of self-disciplinary actions, fostering a high-quality and enriching interbank market ecosystem via strong and active self-disciplinary measures.

Table 5-1: Self-regulatory Sanctions Imposed by NAFMII (By the end of 2025)

Type of Entities	Admonishment Talks	Criticism	Warning	Serious Warning	Public Condemnation	Total
Issuers	102	267	59	63	35	526
Credit Enhancement Agencies	5	13	5	0	0	23
Lead Underwriters	32	19	18	3	0	72
Accounting Firms	3	10	7	3	1	24
Credit Rating Agencies	3	4	4	2	0	13
Law Firms	2	2	1	0	0	5
Investors	14	18	14	7	1	54
Brokers	1	3	4	1	0	9
Other Institutions	15	13	9	6	1	44
Individuals	165	306	125	67	26	689
Subtotal	342	655	246	152	64	1459

5.3 Implementing Self-Regulation of Anti-Money Laundering

To meet the demand of the new Anti-Money Laundering (AML) Law which requires the establishment of AML regulatory framework combining administrative regulation and self-regulation, NAFMII steadily promoted self-regulation of AML in the interbank bond market. Based on comprehensive investigation of the AML condition in the interbank bond market, NAFMII has formulated the *Notice on Enhancing the Self-regulation of AML in the Interbank Bond Market*. In response to the difficulties and problems encountered by institutions in fulfilling their AML obligations, NAFMII has organized the first specialized training course on AML in the interbank bond market. Going forward, NAFMII will continue to improve the self-regulation of AML in the interbank bond market under the guidance of the PBC.

5.4 Conducting Market-Oriented Evaluations of Intermediaries

NAFMII conducts market-oriented evaluations on certain intermediaries, through positive incentives, it guides them towards establishing an industry landscape characterized by compliance, professionalism and healthy competition.

The CIBM has continuously developed a diversified and multi-level underwriting system, and established an evaluation mechanism for underwriters, rewarding good performers and penalizing poor ones, and maintaining a dynamic entry-exit mechanism. Through initial and on-going evaluations, an underwriting system consisting of full-service lead underwriters and specialized lead underwriters - covering domestic and foreign banks as well as securities firms - has been put in place.

Full-service lead underwriters are eligible to serve as the lead underwriters of all types of debt financing instruments, whereas specialized ones can only serve as the lead underwriters of specific categories of debt financing instruments. In 2023, the NAFMII introduced the specialized lead underwriters of panda bonds, with 3 foreign-funded institutions obtaining the qualification. Leveraging their domestic and overseas business networks and international operation experience, these institutions can provide high-quality financial services to overseas issuers and investors. In 2024, NAFMII introduced the specialized lead underwriters of sci-tech innovation bonds, with 4 institutions qualified, delivering more comprehensive intermediary services to tech firms and private equity investment institutions. As of the end of 2025, there were 106 lead underwriters for debt financing instruments in CIBM, with 100 full-service and 6 specialized respectively.

In March 2024, NAFMII and the Securities Association of China (SAC) jointly issued the *Measures for the Joint Market-Oriented Evaluation of Credit Rating Agencies in the Bond Market*, and released the first round of evaluation results in 2025, guiding credit rating agencies to improve their rating quality and market service capabilities.

Table 5-2: Market-based Evaluations on Intermediaries

Intermediaries	Market-oriented Evaluations	Development of the industry
Credit Rating Agencies	"Rewarding good performers and penalizing poor ones, and maintaining a dynamic entry-exit mechanism" Establish the on-going evaluation mechanism.	As of the end of 2025, there were 106 lead underwriters (including 100 full-service lead underwriters and 2 specialized lead underwriters for panda bonds, 4 specialized lead underwriters for sci-tech innovation bonds) and 79 underwriters in total, among which 14 are foreign-funded banks.
Credit Rating Agencies	NAFMII conducts market-oriented evaluation on the credit rating agencies applying for registration and carries out joint market-based evaluation in collaboration with Securities Association of China.	- As of the end of 2025, ratings issued by 11 credit rating agencies can be used on the interbank market, among which 9 rating agencies covered all bond categories and 2 agencies covered only certain bond categories. These 11 agencies included two foreign-funded rating agencies (S&P Global (China) and Fitch Bohua). - The regulatory framework has been continuously strengthened; regulators have gradually placed lesser reliance on credit ratings in reviewing registration documents.
Market Makers	NAFMII introduces evaluation indicators for market making in the CIBM and performs periodic evaluations.	- As of the end of 2025, there were 105 market makers in CIBM. - Some of these market makers also provide market making for overseas investors through Bond Connect.

5.5 Providing a Dispute Mediation Platform

NAFMII provides dispute mediation services to its members and other market participants, covering the interbank bond market, interbank lending market, foreign exchange market, commercial paper market and related derivatives market. Dispute mediation is conducted in accordance with the principles of voluntariness, honesty, justice, fairness, and respect for the rights of all parties involved, and features advantages including flexibility, low cost and convenience. By the end of 2025, NAFMII had handled a total of 159 disputes of various types, among which 70% were successfully mediated, facilitating the stable operation of the market. Relevant subjects covered major instruments in both the interbank market and the exchange market, such as interest rate bonds, credit bonds and NCDs.

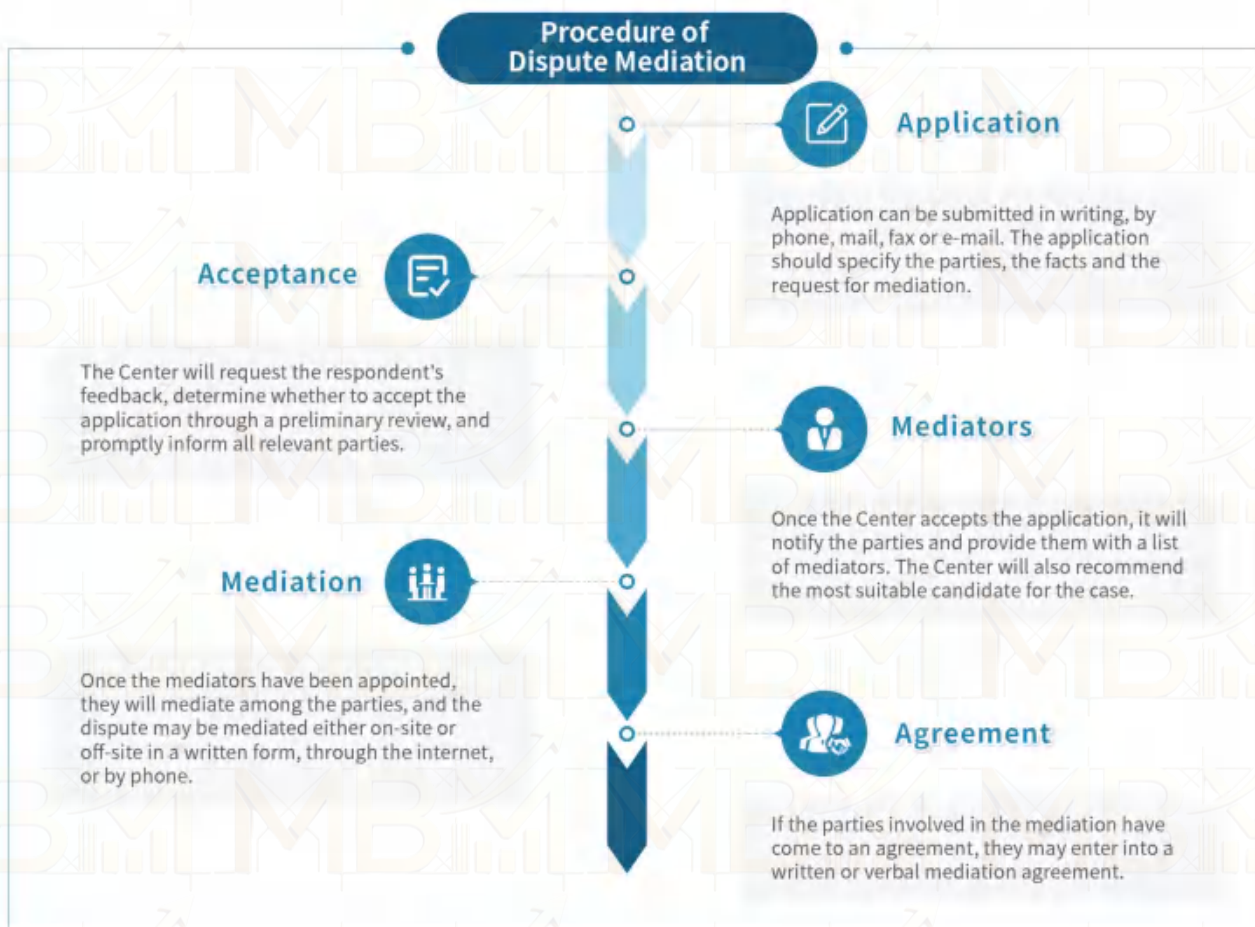


Figure 5-2: Procedure of Dispute Resolution

5.6 Offering Comprehensive Training Course Services

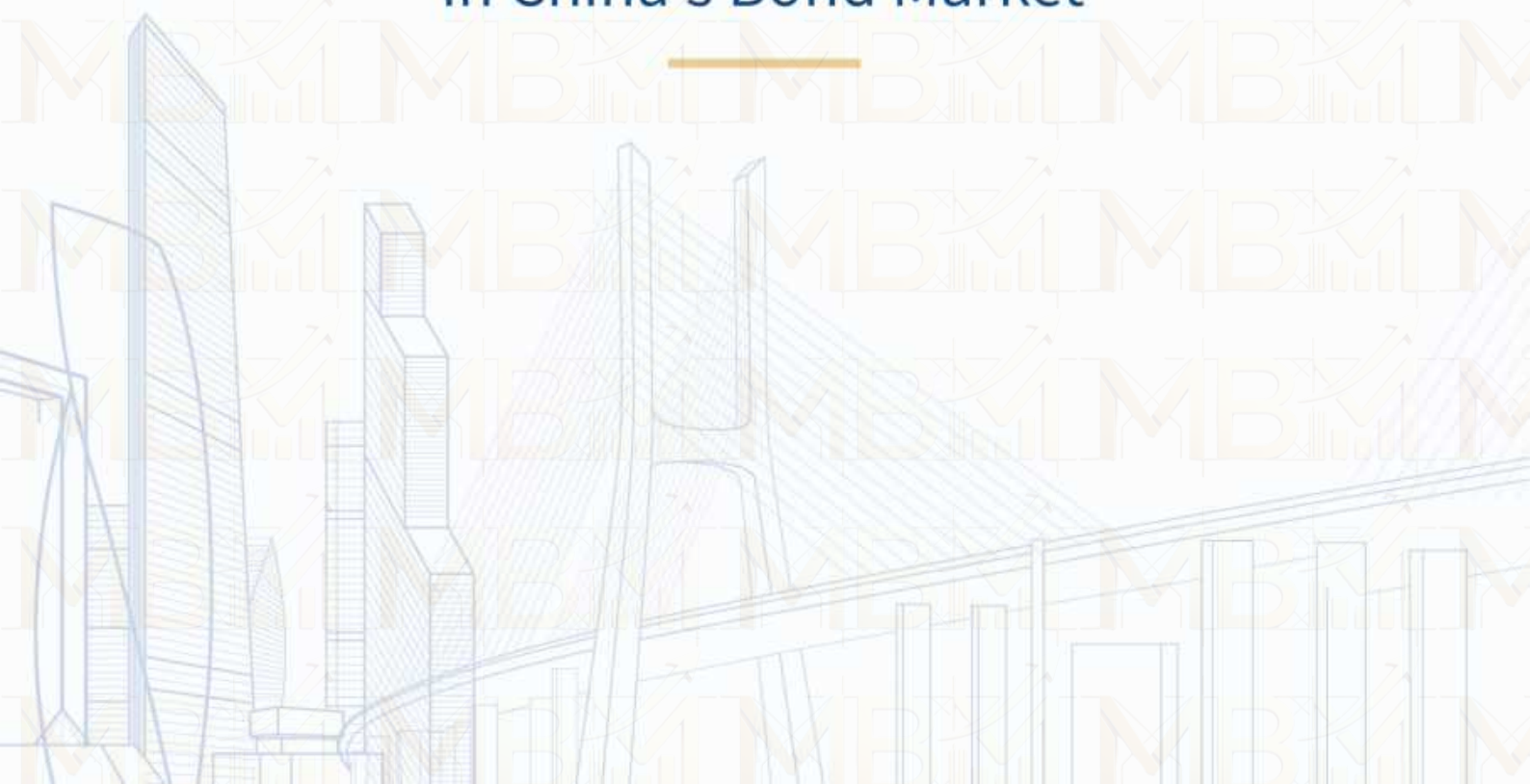
NAFMII provides a professional training system to enhance the competencies of market participants and promote the sound and innovative development of the interbank market. Adopting an "online + offline" dual-channel model, NAFMII offers a full spectrum of courses ranging from basics to cutting-edge topics. In 2025, NAFMII delivered a total of 86 training sessions, benefiting over 7,000 participants. Its online learning platform, NAFMII Window, has offered 360 courses, with over 66,000 registered users, fostering an ever-expanding market learning ecosystem.

The training content integrates foundational knowledge with up-to-date information. It provides standardized introductory guidance for new practitioners while offering specialized training on new products, updated regulations and regional development initiatives. With a focus on practical operation and compliance capability building, the training integrates rule interpretation, case-based teaching and international topics (e.g., ESG and cross-border businesses). This effectively helps institutions elevate their professional skills, mitigate operational risks and align with global practices, thereby laying a solid foundation for the overall stability and innovation of the market.





Expanding Bond Market
Opening-Up to Facilitate Overseas
Institutions' Participation
in China's Bond Market



6.1 Panda Bond Market: A Key Financing Channel for Overseas Issuers

Panda bonds refer to RMB-denominated bonds issued by overseas institutions in onshore-China. The interbank bond market, with its broad investor base, well-established rules and infrastructure, as well as abundant professional intermediaries, has become the primary market for panda bond issuance by all types of overseas institutions, including foreign governmental agencies, international development institutions, overseas financial institutions and overseas non-financial enterprises.

As of the end of 2025, a total of 127 overseas issuers had entered the CIBM, with the cumulative issuance amount of panda bonds reaching 981.29 billion yuan. In 2025, overseas institutions issued a total of 173.31 billion yuan in panda bonds. As of the end of 2025, the outstanding amount of panda bond had reached 382.78 billion yuan, representing a year-on-year increase of 33.6%.

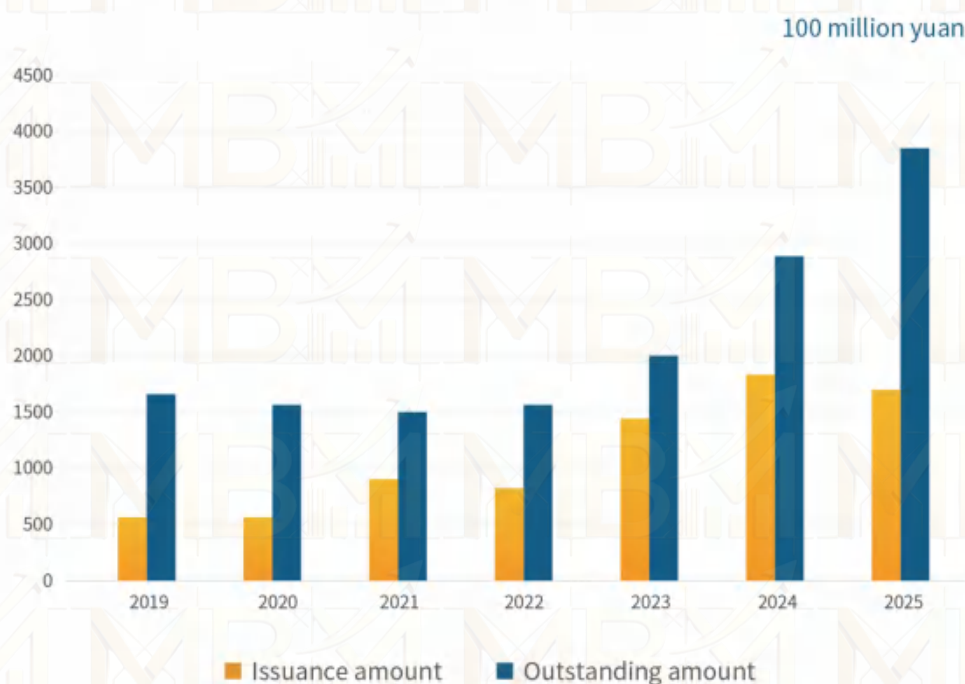


Figure 6-1: Development of CIBM panda bond market

A rich variety of products is available for panda bond issuers and investors in the CIBM, including, among others, GSSS bonds, Transition Bonds, Perpetual Bonds and Sci-Tech Innovation Bonds, in addition to traditional bonds. CIBM boasts of a large and diversified investor base. Overseas issuers may issue panda bond with different tenors and types based on their funding needs and investors' diversified appetites.

The regulatory authorities and self-regulatory organizations have formulated a complete set of rules concerning market access, offering and pricing, information disclosure, intermediary services, accounting standards, use of proceeds, self-regulation, investor protection and applicable law, elevating the standardization and transparency of the panda bond market and lowering the friction costs of overseas participants. The information disclosure, issuance, pricing, and placement of panda bonds follow market-oriented principles. The information disclosure of panda bonds not only aligns with international market practices but also conforms to the reading habits of domestic investors. It facilitates consistency in disclosure for overseas institutions in both onshore and offshore markets.

Panda bond issuers may determine whether to obtain credit ratings based on investors' expectations. They can select lead underwriters from a large number of Chinese banks, securities companies and foreign-funded banks and engage law firms and other intermediaries at their discretion. The proceeds of panda bonds can generally be used for all legitimate purposes, such as repaying outstanding debts, replenishing working capital and project construction.



Box VI

Mechanism Optimization for Overseas Institutions' Green Bond Issuance

In recent years, NAFMII has actively supported overseas institutions in issuing green, social, sustainability, and sustainability-linked (GSSS) bonds. By the end of 2025, the cumulative issuance amount of GSSS Panda bonds registered with NAFMII reached approximately 63.05 billion yuan. Issuers include well-known multinational corporations, foreign governments, and international development institutions, among others. The proceeds have been used to strongly support green, low-carbon, and sustainable development efforts in China and globally.

To address the needs of international issuers and facilitate more overseas institutions in issuing green Panda bonds, in February 2025, NAFMII issued the *Notice on Refining the Mechanism for Green Bond Issuance by Foreign Institutions in the Interbank Bond Market*.

Firstly, introducing issuance under the green bond framework. Foreign governmental agencies and international development institutions (collectively referred to as the "two types of institutions") and high-quality overseas entities may issue green Panda bonds under their green bond frameworks. Secondly, the two types of institutions are permitted to adopt arrangements consistent with international market practices in terms of green project criteria, management of proceeds, and ongoing information disclosure. Thirdly, for overseas non-financial enterprises, in accordance with the "China Green Bond Principles," the "Common Ground Taxonomy—Climate Change Mitigation" (a joint report by China and the EU) and the EU's "Sustainable Finance Taxonomy - Climate Delegated Act" are recognized as criteria for green projects.



6.2 Providing Diversified Services for Overseas Investors

As of the end of 2025, overseas investors held 3.46 trillion yuan worth of debt securities on the CIBM, accounting for approximately 2% of the total outstanding volume. At present, overseas investors mainly hold interest rate bonds, and the remaining maturities of which concentrate on 0-1Y and 7-10Y.

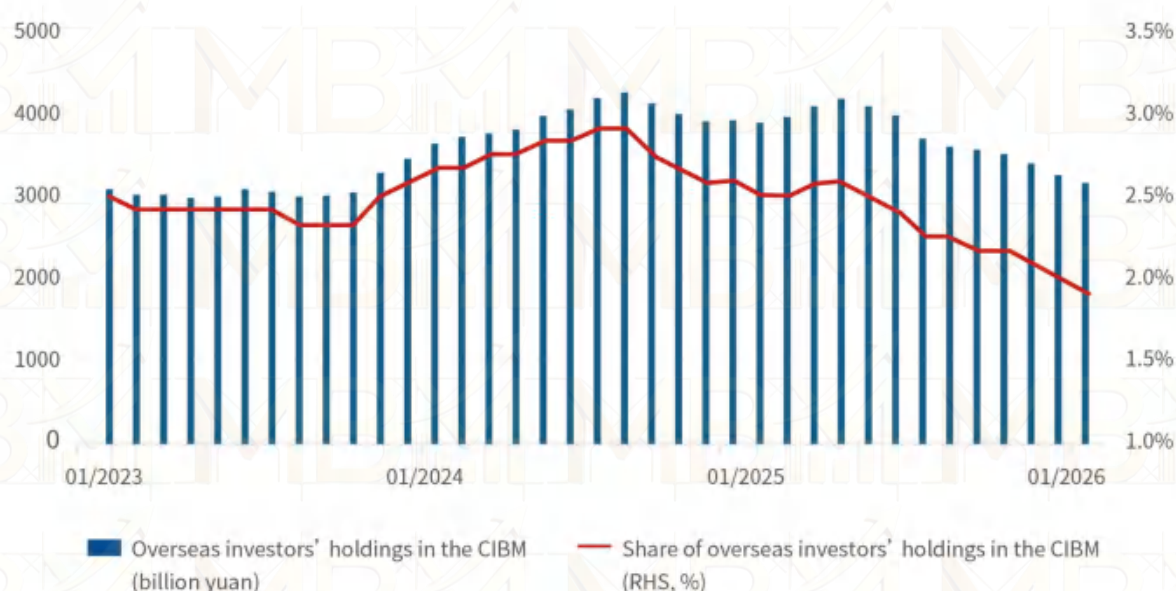


Figure 6-2: Overseas investors' holdings in the CIBM

Data Source: Bond Connect Company and the PBC Shanghai Head Office

In recent years, regulators and self-regulatory organizations have introduced multiple measures to further open up the bond market to overseas investors. Overseas institutions may invest in China's bond market through the **CIBM Director/and Bond Connect**. As of the end of 2025, a total of 1,189 overseas institutions had been granted access to CIBM, among which 624 institutions used the CIBM Direct, 839 institutions used Bond Connect, and 274 used both.

Table 6-1: Measures of Opening up China's Bond Market to Overseas Investors

Opening up for Overseas Investors	Specific Measures
Opening up the CIBM and the exchange market in a coordinated way	The investment scope has been expanded to the bonds traded on the exchange market. The entry filing process has been simplified.
Improving management of fund flows	The requirements for account opening, settlement and sale of foreign currencies, FX risk management, and fund repatriation and remittance have been clarified.
Facilitating RMB interest rate risk management	Swap Connect has been launched.
Facilitating trading and risk hedging	NAFMII has amended the NAFMII Master Agreement and released a cross-border version.
Further meeting overseas investors' needs for liquidity management	Overseas institutional investors in the CIBM and exchange bond market are all eligible to engage in the bond repo business.
Provide tax preferential support for foreign institutional investors	The interest income from investing in domestic bonds by overseas institutions is temporarily exempt from value-added tax and corporate income tax.

6.3 Fostering a Favorable Environment for Overseas Intermediaries' Business Operations

Foreign-funded underwriters

NAFMII has continued to introduce foreign-funded underwriters by adhering to the principles of market-orientation, fairness, impartiality, openness, national treatment and reciprocity. Foreign financial institutions such as banks are encouraged to play dynamic roles in the CIBM to expand the opening-up of the market. They are also encouraged to take part in the market-oriented evaluation and obtain licenses of debt financing instrument lead underwriters in accordance with the evaluation results.

NAFMII has adopted tiered management of underwriting licenses⁵. The market-oriented evaluation mechanism was streamlined in 2023. Lead underwriters have been categorized into full-service lead underwriters and specialized lead underwriters. The global resources available to foreign-funded banks and the strengths of their overseas parents are taken into account in the evaluations. Moreover, to further open up the financial service sector and facilitate foreign institutions to access the CIBM, a category of specialized lead underwriters for panda bonds has been created for the benefit of foreign-funded underwriters. By the end of 2025, 14 foreign-funded banks had been granted underwriting licenses, including 7 full-service lead underwriters, 2 specialized lead underwriters for panda bonds and 5 underwriters.

⁵ Full-service lead underwriters may conduct the lead underwriting business of all types of debt financing instruments in the CIBM, while specialized lead underwriters may conduct the lead underwriting business of certain types of debt financing instruments.

Foreign-funded credit rating agencies (CRAs)

In July 2017, PBC promulgated an announcement to allow eligible foreign CRAs to conduct business in the CIBM, requiring them to apply to NAFMII for registration. Before conducting credit rating business on CIBM, foreign CRAs shall submit regulatory commitment letters to the PBC and designate their branch offices in China to cooperate with supervision. In March 2018, NAFMII clarified the rules regarding the evaluation indicators for registration of CRAs, the implementation of such evaluation and the uses of evaluation results.

In January 2019, the registration of S&P Ratings (China) for conducting credit rating business in the CIBM was approved. In May 2020, Fitch Bohua, a wholly-owned subsidiary of the US-based Fitch Ratings in China received approval to conduct Class B credit rating business covering financial bonds and structured products.

Foreign market makers

Market makers play a crucial role in improving market liquidity and facilitating price discovery. NAFMII conducts self-regulatory supervision of the market makers by regularly evaluating their activities with reference to indicators including quotation continuity, bond coverage, pricing capability, trading volume and client base. By the end of 2025, a total of 12 foreign-funded banks and securities companies were qualified as cash bond market makers, and 15 foreign-funded banks and securities companies were qualified as Bond Connect dealers.

Table 6-2: Foreign-funded Cash Bonds Market Makers and Foreign-funded Bond Connect Dealers in the CIBM

No.	Cash Bond Market Makers	Northbound Bond Connect Dealers
1	Deutsche Bank (China) Co., Ltd.	Deutsche Bank (China) Co., Ltd.
2	HSBC Bank (China) Company Limited	HSBC Bank (China) Company Limited
3	Mizuho Bank (China), Ltd.	Mizuho Bank (China), Ltd.
4	BNP Paribas (China) Limited	BNP Paribas (China) Limited
5	Citibank (China) Co., Ltd.	Citibank (China) Co., Ltd.
6	Bank of America, N.A., Shanghai Branch	Bank of America, N.A., Shanghai Branch
7	JPMorgan Chase Bank (China) Co., Ltd.	JPMorgan Chase Bank (China) Co., Ltd.
8	MUFG Bank (China), Ltd.	UBS Securities Co. Limited
9	DBS Bank (China) Limited	MUFG Bank (China), Ltd.
10	Standard Chartered Bank (China) Limited	DBS Bank (China) Limited
11	The Bank of East Asia (China) Limited	Standard Chartered Bank (China) Limited
12	Fubon Bank (China) Co., Ltd	Sumitomo Mitsui Banking Corporation (China) Limited
13		Fubon Bank (China) Co., Ltd
14		Societe Generale (China) Limited
15		Goldman Sachs (China) Securities Company Limited

Annex I How Overseas Institutions Issue Bonds in the Interbank Market

Various types of overseas issuers, including governments, international development institutions, financial institutions and non-financial enterprises may issue RMB-denominated bonds in the CIBM.

Table 1: Panda Bonds Issued by Different Types of Overseas Issuers

	Governments	International development institution	Financial institutions	Non-financial enterprises
Scopes of issuers	Sovereign, local governments, agencies performing government functions	Multilateral, bilateral and regional financial institutions that make development loans and investments	Financial institutions registered or incorporated outside of the mainland China	Non-financial enterprises registered or incorporated outside of mainland China
Registration/ approval authorities	NAFMII	NAFMII	PBC	NAFMII
Registration/ approval process	Issuer submits an application letter to NAFMII- NAFMII accepts the applications that meet the requirements-NAFMII reviews application documents-NAFMII organizes review by the registration experts (except for private placements)- NAFMII issues the Notice of Acceptance of Registration		Upon the receipt of an application for approval and the satisfaction of the requirements for application materials, PBC issues a Decision on Granting Administrative License to the issuer	NAFMII accepts the applications that meet the requirements-NAFMII reviews application documents -NAFMII organizes review by the registration experts (except for private placements) - NAFMII issues the Notice of Acceptance of Registration
Shelf-registration	Foreign governmental agencies and international development institutions that are seasoned issuers on overseas markets or that have issued bonds within the PRC and complied with the ongoing disclosure obligations for more than one year may apply to issue bonds from time to time in multiple series within a total registration amount. Foreign governmental agencies and international development institutions issuing bonds in multiple series may decide whether and when to issue bonds during the twelve-month period after the acceptance of registration, and, upon the expiry of such twelve-month period, may issue bonds at any time during the remaining validity		One approval for an issuance program and multiple issues thereunder (within the approved issuance amount). For subsequent issuance, relevant documents shall be filed with PBC	One registration for an issuance program and multiple issues thereunder. For seasoned issuers that meet certain criteria, there can be no limit on registered amount

	period of registration upon filing with NAFMII. Such issuers issuing bonds through private placements may decide whether and when to issue bonds within the validity period of registration. Issuers can issue bonds in its discretion via private placement within the 2-year registration validity period.		
Underwriters	Experienced in domestic bond underwriting, and meeting applicable requirements under the relevant regulations of PBC and NAFMII; Among them, the lead underwriter should possess the DFI lead underwriting qualification (see the official website of NAFMII for the list) At least one of the principal underwriter(s) for registration and each offering shall have a subsidiary or branch in the country or region where the head office of the foreign governmental agency or international development institution is located, or make other necessary arrangements, to ensure that such principal underwriter(s) have capability to conduct due diligence.	Experienced in domestic bond underwriting, and meeting applicable requirements under the relevant regulations of the PBC	Possessing the DFI lead underwriting qualification (see the official website of NAFMII for the list) At least one of the principal underwriter(s) for registration and each offering shall have a subsidiary or branch in the country or region where the non-financial enterprise is incorporated or the principal place of its business is located, or make other necessary arrangements, to ensure that such principal underwriter(s) have the capability to perform its duties including conducting due diligence.
Registration documents	Registration report, letter of recommendation issued by lead underwriters, internal authorization document(s) approving the proposed issuance, offering circular, the financial statements (audited) or economic data report for the most recent three fiscal years, legal opinions (for private placements, registration documents can be simplified)	Application letter, the authorization document(s) approving the proposed issuance, offering circular, the financial statements (audited), financial license certificate, legal opinions, etc.	Registration report, letter of recommendation issued by lead underwriters, internal authorization document(s) approving the proposed issuance, offering circular, the financial statements (audited), legal opinions (for private placements, registration documents can be simplified)
Offering and pricing	Bonds offered through book-building, priced through Dutch auction		
Information disclosure	At the offering and post-issuance of the bonds, the obligation of information disclosure shall be performed in accordance with the applicable requirements. Information disclosure shall be true, accurate and complete and made on a timely basis, without false records, misleading statements or material omissions. To ensure the consistency of disclosure at home and abroad, foreign issuers are given certain flexibility in the contents, language, timing and frequency of disclosure.		
Use of proceeds	The proceeds may be used in China or abroad in accordance with relevant laws, regulations and regulatory requirements. The account opening, cross-border settlements, and information reporting in connection with the proceeds from the issuance of debt financing instruments by overseas non-financial enterprises shall be in compliance with relevant rules of PBC and the State Administration of Foreign Exchange.		

Accounting standards	No restrictions	➤ For public offerings: China Accounting Standards or equivalent accounting standards. Otherwise, a narrative description of the material differences between the accounting standards adopted by the issuer and China Accounting Standards should be disclosed; ➤ For private placements: agreed between the issuer and investors	➤ For public offerings: China Accounting Standards or equivalent accounting standards. Otherwise, a description of the material differences between the accounting standards adopted by the issuer and China Accounting Standards, as well as a reconciliation of the audited financial statements into China Accounting Standards are required; ➤ For private placements: agreed between the issuer and investors
Audit supervision	➤ If China Accounting Standards are adopted: engage a PRC accounting firm to conduct audit; ➤ If other accounting standards are adopted: engage a PRC accounting firm or a qualified overseas accounting firm to conduct audit; ➤ If reconciliation between accounting standards is required: engage a PRC accounting firm to perform verification; Overseas accounting firms shall make filings with the Ministry of Finance.		
Bond products	No limit on the tenor of bonds, and different types of transaction structures (such as SPV issuer + guarantee) can be deployed according to the actual needs of the issuer. Overseas issuers can also tap innovative products such as green bonds, social bonds, sustainability bonds, and SLB.		
Registration, custody and settlement	Shanghai Clearing House (SHCH)		

Annex II How Overseas Institutions Invest in the Interbank Market

Overseas investors may access China's bond market under two regimes: One is Bond Connect that allows overseas investors to trade in onshore bond markets through a linkage between the Mainland China and Hong Kong market infrastructures. The other is the CIBM Direct where the investors can enter the market through their onshore settlement agent banks or custodian banks.

Table 2: Comparison of Two Regimes for Accessing the CIBM

	CIBM Direct	Bond Connect
Key regulators	PBC and SAFE	
Eligible overseas investors	- Foreign central banks, international financial institutions and sovereign wealth funds - Foreign commercial banks, insurance companies, securities companies, fund management companies, other asset management companies and unincorporated foreign investment products issued by any of the above foreign financial institutions - Other foreign medium- and long-term institutional investors such as foreign pension funds, charity funds and donation funds	
Investment scope	- Any products traded on the CIBM (including ABS) - Investing in the exchange bond market directly or through the mutual market access schemes - Bond forwards, bond lending, interest rate forwards, interest rate swaps and FX derivatives for hedging purposes - Repos	- Any products traded on the CIBM (including ABS) - IRS (through Swap Connect) - Repos
Eligible overseas investors	CNY (converted from foreign currencies) and CNH	
Investment quotas	No limit	

Custody	➤ Settlement agency mode: direct holding ➤ Custodian mode: multi-level custody with nominee accounts	➤ Multi-level custody with nominee accounts
Legal / Beneficiary ownership	➤ Settlement agency mode: assets are held in segregated and dedicated accounts, which are opened in the name of the overseas institutional investor or the fund/client ➤ Custodian mode: the bonds purchased via domestic custodian banks shall be registered in the name of the domestic custodian banks, and it shall be entitled to rights and interests in the bonds according to the law	➤ Arrangements between nominee holder (i.e. CMU) and beneficial owners are acknowledged. Legal relationship between CMU participants and CMU shall be governed by Hong Kong law
Clearing & settlement	➤ Settle agency mode: direct clearing and settlement ➤ Custodian mode: through domestic custodian banks as the nominee holders	➤ Through CMU as the nominee holder
Scope of counterparties	➤ No specific restriction	➤ Onshore Bond Connect Dealers only
Hedging permitted or not	➤ Permitted (trading RMB/FX derivatives on an as-needed basis for the purpose of hedging FX risk exposure)	➤ Permitted (hedging FX risks exposure with the Hong Kong settlement banks only; Hong Kong settlement banks may then square the positions generated from such trades in PRC onshore market on an as-needed basis under the northbound Bond Connect)

Annex III Standard Agreement Documentation for the Interbank Derivatives Market

Table 3: Documentation on standard derivative contracts issued by NAFMII

Type	Document	Implications
Master Agreements	NAFMII Master Agreement (2009 Version)	These documents cover application scenarios, including transactions between domestic institutions and cross-border transactions. They help market participants manage counterparty risks and protect the rights and interests of investors.
	NAFMII Master Agreement (Cross-border-2022 Version)	
	Swap Connect Cleared Derivatives Agreement (2024 Version)	
Performance Assurance Documents	NAFMII Pledge Performance Assurance Document (2009 Version)	
	NAFMII Title Transfer Performance Assurance Document (2009 Version)	
	NAFMII Title Transfer Performance Assurance Document (Variation Margin)	
Terminology Documents	These documents provide definitions for trading terminology, including for trading interest rates, exchange rates, bonds, credits, gold, carbon, and other derivatives.	Market participants' demand for standardized trading in various types of derivatives has been substantially met.
Standard Documents on IBOR Fallbacks	IBOR Fallbacks Protocol and IBOR Fallbacks Supplement to NAFMII Master Agreement (2009 Version)	These documents aim to implement the consensus on advancing the international reform with respect to interest rates, actively manage the withdrawal of LIBOR, and promote the stable operation of financial institutions and the derivatives market.
	IBOR Fallbacks Booklet for China Interbank Market Derivatives Transactions	
Standard Documents on credit derivatives	NAFMII Master Agreement (Special Version for Warrants)	This document aims to facilitate market trading through multilateral execution for CRMWs linked to a single obligation.
	Sample Text for Illustrating the Creation of Credit Risk Mitigation Warrants (2025 Version)	This document promotes the standardization of warrant creation, which is expected to increase trading activity in the market.